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KENYATTA UNIVERSITY

DIGITAL SCHOOL OF VIRTUAL AND OPEN LEARNING

IN COLLABORATION WITH

SCHOOL OF BUSINESS

DEPARTMENT OF ACCOUNTING AND FINANCE

BAC 170: FUNDAMENTALS OF ACCOUNTING 1

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COURSE OUTLINE BAC 100: FUNDAMENTALS OF ACCOUNTING 1

Course Purpose

The course aims to equip students with basic skills pertaining to the preparation, interpretation and use of the financial information of a business as an aid in making business and financial decisions.

Particular emphasis is placed on mastering the accounting equation, the full accounting cycle and preparation of the financial statements.

Course description

Nature, purpose and scope of accounting, Fundamental accounting principles and conventions underlying accounting reports, Accounting equation, Recording business transactions; general journal, ledger accounts, Trial balance, Correction of errors, Year-end adjustments, Measuring business income, Worksheet .Accounting for merchandising activities, Special journals and control accounts.

TOPICS COVERED

Topic One: INTRODUCTION TO ACCOUNTING

- Define Accounting
- Branches of Accounting
- Parties Interested in Accounting Information
- Accounting Information Salient Features
- Pitfalls of Accounting Information
- Elements of Accounting Records

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- Basic Accounting Equation

Topic Two: ACCOUNTING PRINCIPLES

- Accounting Concepts
- Accounting Policies (IAS 8)
- Accounting Bases

Topic Three: ACCOUNTING CYCLE

- Sources Documents
- General Journal
- Rule of Double Entry
- The Ledger
- Posting Transactions in the Ledger
- Trial Balance
- Location and Correction of Accounting Errors
- Basic Final Accounts

Topic Four: YEAR END ADJUSTMENTS (IAS 4)

- Accruals
- Prepayments

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□ Straight line and Reducing balance depreciation methods

□ Bad debts

□ Provisions for doubtful debts (IAS 37)

Topic Five: PREPARATION OF FINANCIAL STATEMENTS (IAS 1)

□ Final Accounts for a Merchandising Enterprise

□ Final Accounts for a Non-Merchandising Enterprise

Topic Six: SPECIAL JOURNALS AND CONTROL ACCOUNTS

- Sales and Purchase Journal
- Returns Journal
- Cash Receipt and Payment Journal
- Cash Book
- Debtor's and Creditor's Ledger Control Accounts

REFERENCE BOOKS

- Wood. F and Sangster, A. **Business accounting**. Latest edition, London Lngue ELBs.
- MEIGS. W.B. Johnson C.E and MEIGS- **Accounting for business decisions** latest Edition, New York, and McGraw Hill.
- Warren F. **Financial accounting**. Latest edition
- Wang'ombe D. K. – **Fundamentals of Accounting**, Focus Publishers
- International Financial Reporting Standards
- Any other relevant reference source

MODE OF INSTRUCTION AND ASSESSMENT

Course instruction will involve e-learning platform, online forum discussions and chats.

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ASSESSMENT

SIT IN CAT, Online quizzes and Assignments- 30%

Final examination - 70%

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LESSON ONE

INTRODUCTION TO ACCOUNTING

1.0: INTRODUCTION



Accounting consists of recording, reporting, summarizing, analysis and interpreting of recorded data. This is achievable through designing of an accounting system that can serve the requirements of the users of accounting information. The designed system can be used to generate reports on which basis decisions can be made.

1.1: LECTURE OBJECTIVES



By the end of this lesson learners should;

- Be in a position to provide a concrete definition of accounting and its branches
- Identify the needs of various users of accounting information
- Be able to identify the characteristics of good accounting information as well as the associated limitations
- Appreciate the different elements of accounting reports
- Have a basic understanding of the accounting equation

1.2: GENERAL OVERVIEW

1.2.1: DEFINITION OF ACCOUNTING

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Accounting is not an event instead it is concerned with recording data, classifying and summarising data and communicating what has been learned from the data to enable informed decision making. The American Accounting Association defines accounting as “the process of identifying, measuring and communicating economic information to permit informed judgments and decisions”. This definition brings out a number of key elements;

- Accounting is a tool of providing information to others. Accounting information gives the economic and financial activities the business or organisation.
- That through the establishment of a proper accounting system, accounting information can be identified and measured.
- Accounting information must be communicated to the users.

From the above definition the functional elements of accounting can be said to include;

- Collection- Gathering of information relating to business events
- Recording – Recording and classifying data in a prescribed and systematic manner
- Summarising- Summarising information contained in the system so as to generate financial statements and foot notes that will be useful to the various users of accounting information
- Interpreting and communicating- this enhances analysis and dissemination of the performance of a business to the various interested parties.

Whereas accounting is a process accounts on the other hand can be said to be the financial records of an organisation, articulated to form an accounting system. An accounting system forms the arithmetic model for the organisation’s financial state at all times and registers every change in that state over time.

An accounting system consists of personnel, procedures, devices and records used by an organisation which help in development and structure of accounting information to decision makers. The design and capabilities of these systems vary greatly from organisation to organisation. In very small organisations, the accounting systems may consist of little more than a cash book, cheque books and probably an annual interaction with a public accountant for the filing of tax returns. In large organisations accounting systems may consists of more that this.

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Any accounting system consists of records, procedures, devices and personnel used by an organisation which aid in creating structure of accounting information to decision makers. These systems ability to give the desired outcome vary greatly from organisation to organisation. Generally, in very small organisations, the accounting systems may comprise of little more than a cash book, cheque books and probably a filing of tax returns. This is unlike the large organisations where accounting system is highly computerised and operated by highly trained and skilled staff.

NOTE



Bookkeeping is the routine recording of the day to day financial transactions of a business in a prescribed form and according to set rules. Transactions include sales, purchases, income, and payments by an individual or organization. Bookkeeping is usually performed by a bookkeeper. Bookkeeping should not be confused with accounting. The accounting process is usually performed by an accountant. The accountant creates reports from the recorded financial transactions recorded by the bookkeeper.

1.2.2: BRANCHES OF ACCOUNTING

Accounting is broadly categorised into two;

Financial accounting

This is that part of accounting primarily concerned with the development of general purpose financial reports that are intended to serve the informational needs of external users who lack the authority to prescribe the financial information they want from an enterprise. Financial accounting relies on data pertaining to transactions, events and activities that have already occurred.

Management accounting

This is that part of accounting designed to provide information to managers so as to enable them make appropriate decisions that will ensure smooth running of the business. Management accounting is meant to provide managers with information concerning the likely outcome of its future transactions,

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events and activities. Management accounting provides customised information tailor made to the needs of a manager.

Cost accounting is a branch of management accounting concerned with the establishment and ascertainment of costs involving the activities, products, services, processes, departments or divisions of an organisation. Through the establishment and ascertainment of costs organisations are able to carry out budgeting and variance analysis which represent the planning and controlling functions of a manager.

1.2.3: HISTORY OF ACCOUNTING

There are many stories of how accounting began, but most writers agree that it has a long history, going back 5,000 years or so. Legend has it that wealthy individuals, wanting to keep track of their possessions (cattle, stores of grain, gold ornaments and so forth), hired scribes to keep records of additions and deletions to their lists of possessions as they bought, sold, or traded them. One supposes that that they wanted to be sure that any changes were legitimate; that losses were not due to theft, and that if 100 cattle were purchased that the herd increased by 100. From time to time, a count of possessions would be made and compared to the records maintained by the scribe. Any unexplained losses would be a signal that something was amiss and worthy of investigation. Modern bookkeeping is however generally thought to have been invented during the Italian Renaissance (around 1494 AD). It is normally attributed to a Franciscan friar named Luca Pacioli who in 1494 in his paper "Summa de Arithmetica, Geometria, Proportioni et Proportionalita" ("Everything about Arithmetic, Geometry and Proportion") recorded the use of the double entry concept. "The treatise described double-entry bookkeeping—that for every credit entered into a ledger there must be a debit, a concept created by Florentine merchants and hailed by Goethe as "one of the most beautiful discoveries of the human spirit". "Three traits shared by successful merchants, Mr. Pacioli wrote, were access to cash, a constantly updated accounting system and a good bookkeeper.

1.3: PARTIES INTERESTED IN ACCOUNTING INFORMATION

Users of accounting information are interested in the existence of the firm and hence use this information in their decision making process. The information is provided in form of financial statements which give information about an entity's:-

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- Financial position
This entails the resources a firm has and how much belongs to the owners of the business and others such as suppliers and financial institutions.
- Financial performance
It explains how a firm uses its resources for their core business to generate income.
- Changes in financial position
Stipulates whether the resources of a firm are increasing or decreasing.

Shareholders

These include owners of the firm who are persons who have invested tangible assets and financial resources with a view to obtain a fair return for the investments. They will be interested to see whether or not the business is profitable.

Customers

Customers rely on the business for goods and services. They would like to know how the business is performing and its financial position. This information would enable them to assess whether they have the required resources to perform their task such as HR and technical expertise.

Suppliers

Persons who provide goods and services to the firm and aim to assess the creditworthiness of the firm with a view to determine whether they are able to pay the amount owing as and when such amount falls due for payment within the credit period.

Managers

These are the day to day decision makers in the firm hired by owners for their expert managerial skills to run the operations of the firm in an efficient and effective way. They will need to know how well things are financially for the business.

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Lenders

Financial institutions that provide financial services to the firm and hence concerned with knowing the risk involved in extending credit. If the owners want to borrow credit for use in the business, they will need to know such information.

Government and its agencies

Government finances most of its activities through revenue generated from taxes, fines and other penalties therefore a great user of financial information. It is interested in the financial performance of the business to be able to assess the tax collectible based on profit, income and sales. Other government agencies are interested in the financial position and performance of the business to be able to measure the average performance of the economy.

Financial Analysts and Advisors

Such as stockbrokers, interpret the financial information and advise investors on shares to buy in the stock market and professional consultants like accountants are interested in the financial position and performance of the firm so that they can advise their clients on the value their investment i.e. whether it is profitable or not and what is the value. Others advisors would include the press who will then pass the information to other relevant users.

Employees

Individuals hired in a firm to perform various tasks depending on their level of education and training. They require adequate compensation through salaries and other benefits or remuneration packages and allowances. The employees are expected to progress in a manner commensurate with the level of prosperity enjoyed by the employer.

The Public

Institutions and other welfare associations and groups represent the public. They represent workers and normally agitate for their members' welfare in terms of working conditions and remunerations. Unions are interested in the firm's financial performance to find out how much they can bargain on behalf of their members-the employees in the firm.

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1.4: SALIENT FEATURES OF GOOD ACCOUNTING INFORMATION

Researchers and committees have approached the task of performing accounting practice to determine the characteristics which they believe should be expected of financial reports. The main characteristics proposed include;

i. Understand ability

There is need to supply information in such a way that it would be easily comprehensible. Understand ability means provision of information which will be comprehensible to the less informed users of accounts without omitting information which will be of value. However users are assumed to have a reasonable knowledge of business economic activities and accounting and the reasonable willingness to study accounting information.

ii. Relevance

Information is relevant to decision making if it has the qualities to help the decision maker to;

- Form an expectation i.e. it has predictive value
- Confirm expectation i.e. it has confirmatory value
- Revise an expectation- it has corrective value

Relevance means presenting information which has a bearing on the purposes of the user. Information is relevant if it might influence the decision of those entitled to receive it.

iii. Reliability

The users of accounts should be able to assess the degree of confidence to be put on use of financial reports. Credibility of information is enhanced if;

- It can be independently verified i.e. it can be verified from the source or supporting documents
- It possesses representational faithfulness, i.e. the activities, transactions and events are reported as they occurred without any distortions
- It is neutral i.e. the information is not presented in such a way as to favour a particular group of users.

iv. Comparability

The financial reports should be comparable with the same business's previous years' results as well as of other businesses operating in the same industry. The ability of financial information to facilitate

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choice through comparison is important because users of accounts want to compare the performance of a business over time and to other businesses.

v. Consistency

Holding other things constant, the consistent treatment of items over time is desirable so as to aid comparability. However this should not cause an obsession which will hinder progress. When the needs of users change and better financial reporting procedures develop, the accounting methods should change.

vi. Objectivity

The information presented should be objective or unbiased in such a way that it should meet all proper user needs and be neutral, not biased towards the interests of any one user group.

vii. Prudence

This requires that an accountant does not take credit for revenue until it has been realised in cash or near cash but provide for all known liabilities whether known with certainty or reasonable estimate. The intention is to create some sort of bias that in case of doubt an accountant will report the lowest profit as far as possible as well as lowest value of assets.



Put a video simulation on the discussion pertaining to the characteristics of good accounting information

1.5: POTENTIAL PITFALLS OF ACCOUNTING INFORMATION

In preparing and presenting financial information that possesses the above characteristics accountants face the following limitations;

i. Money measurement

Accounting only records those transactions which can be measured in monetary terms. This means that important issues such as efficiency of management or the human capital are not reflected in financial reports despite their significant role in the success of a business.

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ii. Price level changes

Accounting transactions are normally recorded at cost hence ignoring the effect of price level changes. This means that in some cases the information presented may have little semblance to reality, because it does not show the current worth of the items presented.

iii. Historical information

Financial statements report what has happened in the past. By the time data is collected and recorded in the books of accounts, the events would have occurred and thus they are history. They do not report what is happening or what will happen in future.

iv. Snap shot information

Financial statements more precisely the statement of financial position are reported as at a given date. It provides information of financial information of financial state, which is a static picture on that particular day, not a day plus nor a day minus.

v. Concepts and conventions

Accounting statements are prepared following agreed accounting concepts and conventions. Accounting information may thus not be realistic. The financial position reported depends on the concepts and conventions used. Should there be a change in any of the conventions, then the reported financial positions would change. The implication is that accounting information such as profit level is not necessarily a representative of the actual profits earned because the measured and reported profit is based on the concepts and conventions used.

1.6: ELEMENTS OF FINANCIAL REPORTS

Assets

An asset is the actual resource in a business entity/firm as a result of past events for which economic benefits are expected to flow to the firm or supplied by the owner of the business/entity.

For instance if a business sells goods on credit then it has an asset called debtors. The past event is the credit sale and the resource is the debtor. This debtor is expected to pay so that economic benefits will

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flow towards the firm i.e. in form of cash once the debtors pay. Assets are classified into two main types:

- i. **Noncurrent assets-** These are acquired by the business to assist in earning revenues and not for resale. They are normally expected to be in business for a period of more than one year. Major examples include: Land and buildings, Plant and machinery, Fixtures, furniture, fittings, equipment and Motor vehicles. The non-current assets of a business are further classified into two;
 - a. **Tangible assets:** These are the non- current assets whose existence can physically be verified e.g. buildings, land, motor vehicles, furniture, computers etc.
 - b. **Intangible assets:** These are non- current assets present in a business but whose existence may not be physically verified. They arise mostly out of intellectual property rights. Examples include; patents, copyrights, trademarks and names, secret formula etc.
- ii. **Current assets-**These are assets not expected to last for more than one year. They are in most cases directly related to the trading activities of the firm. Examples include, Stocks/inventories, Trade debtors/accounts receivables, bills receivable, short term notes receivable, Cash at bank, Cash in hand, prepaid expenses etc.

Liabilities

This is the name given to the amounts owing to people other than the owner who have supplied some assets to the business. Therefore, they are obligations of a business as a result of past events of which is expected to result to an economic outflow of amounts from the firm.

For instance is when a business buys goods on credit, then the firm has a liability called creditors. The past event is the credit purchase and the liability being the creditor. In this case the firm will pay cash to the creditor and therefore there is an out flow of cash from the business. Liabilities are also classified into two main groups;

- i. **Non-current liabilities-** These are obligations which the business is likely to take beyond one accounting period/year to fully settle. Examples include; long-term loans from banks or other financial institutions, bonds payable, debentures etc.

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- ii. **Current liabilities-** These are obligations which the business is likely to settle within a period of one year. Major examples: Trade creditors/ accounts payable, Accrued expenses, Bank overdraft, Bills payable, corporate tax liability etc.

Capital

This is the residual amount on the owner's interest in the firm after deducting liabilities from the assets. It represents the amount which the owner/ owners have injected to the business to start up and prop up its operations.

Income

This represents the amount of money or its equivalent received during a period of time in exchange for labour or services, from the sale of goods or property, or as profit from financial investments. Income is recognised in the income statement when increase in future economic benefits related to an increase in an asset or a decrease of a liability has arisen that can be measured reliably.

Expenditure

This represents the payment of cash or cash-equivalent for goods or services, or a charge against available funds in settlement of an obligation as evidenced by an invoice, receipt, voucher, or other such document. For accounting purposes business expenditure is broadly classified into two; Revenue expenditure

Capital expenditure

Expenses are recognised in the income statement when decrease in future economic benefits related to a decrease in an asset or an increase of a liability has arisen that can be measured reliably. Expenses are recognised in the income statement on the basis of a direct association between the costs incurred and the earning of specific items of income



Put a video simulation on the discussion pertaining to the different elements of financial reports and their classification

1.6.1: Basic Accounting Equation

1.7: ACTIVITY



Obtain the financial statements of any business of your choice and identify its noncurrent assets, current assets, noncurrent liabilities and current liabilities.

1.8: SUMMARY



The primary objective of accounting is to provide information, which is usually financial, for decision making. The main purpose of financial accounting is to systematically analyse financial statement and data with the view of making an interpretation of financial transactions which are then used for management decision making especially financial planning. Managerial accounting differs from financial accounting since while managerial accounting is for internal decision making and does not have to follow any rules issued by standard-setting bodies; financial accounting is performed according to Generally Accepted Accounting Principles (GAAP) guidelines.

1.9: FURTHER READING



- Wood. F and Sangster, A. **Business accounting**. Latest edition, London; Prentice hall
- MEIGS. W.B. Johnson C.E and MEIGS- **Accounting for business decisions** latest Edition, New York, and McGraw Hill.
- Warren F. **Financial accounting**. Latest edition
- Wang'ombe D. K. – **Fundamentals of Accounting**, Focus Publishers

1.10: SELF TEST QUESTIONS



QUESTION ONE

Briefly explain the difference between accounting and book keeping

QUESTION TWO

The objectives of the financial statements is to provide information about financial position, performance and change in financial position of an organisation that is useful to a wide range of users in making economic decisions.

Required

- a) State five potential users of a company's financial statements briefly explaining for each one of their likely information needs
- b) State and briefly explain five desirable qualities of accounting information

QUESTION THREE

“Accounting lends itself easily to its analysis as an information system”

- a) Explain the above statement
- b) Discuss the boundaries if any of the information system

QUESTION FOUR

Hardly a day passes without an article appearing on the crisis affecting the accounting position of commercial organisations in Kenya. Explain how reported accounting numbers might affect an individual's perceptions and actions. Cite relevant examples

LESSON TWO

ACCOUNTING PRINCIPLES 2.0: INTRODUCTION



Accounting is called the language of business which communicates the financial condition and performance of a business to interested users, also referred to as stakeholders. In order to become effective in carrying out the accounting procedure, as well as in communicating the financial information of the business, there is a widely accepted set of rules, concepts and principles that governs the application of the accounting procedures. These set of rules, concepts and principles are commonly referred to as the Generally Accepted Accounting Principles (GAAPs).

2.1: LEARNING OBJECTIVES



By the end of this lesson learners should be able to:

- Understand the various concepts applied in the accounting discipline
- Appreciate the criticism levelled against some of the accounting concepts
- Distinguish between accounting bases and policies

2.2: GENERAL OVERVIEW

Accounting Concepts and Principles are the assumptions used in the recording of transactions in the books that have been devised to provide a basic framework for financial reporting. As financial reporting involves significant professional judgments by accountants, these concepts and principles ensure that the users of financial information are not misled by the adoption of accounting policies and practices that go against the spirit of the accountancy profession. Accountants must therefore

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actively consider whether the accounting treatments adopted are consistent with the accounting concepts and principles.

2.2.1: Accounting Concepts

These are broad basic assumptions which underlie the periodic financial accounts of the business enterprises. The following are the four fundamentals accounting concepts.

Going concern concept

This concept assumes that the enterprise will continue in operational existence for the foreseeable future. This means in particular that the profit and loss account and balance sheet assume no intention or necessity to liquidate or curtail significantly the scale of operation. This concept is of great importance for asset valuation, for it reflects the assumption that the firm is to be valued on the basis that it is a going concern. In effect, this concept underpins the asset values shown on the balance sheet and other conventions associated with the representation of liabilities. To abandon this concept means that assets will be valued on a realizable value basis.

Criticism of this concept:

- a) It is not necessary true those firms do not cease trading. Therefore, balance sheet valuation based on the concept may give investors an incorrect view of the assets particularly when firms cease trading shortly after the last published balance sheet due to various circumstances.
- b) It is misleading to suppose that the going concern concept applies equally to the continuity in the firm's operations in a particular sector or as regards a particular product. In this respect, the going concern concept finds no support in any other formal study of economic behaviour.
- c) The concept precludes the consideration of the alternative courses of action and prevents the provisions of the relevant accounting information for this purpose.

Accrual concept

Together with the realization and the matching concept, the accruals concept has its origin in the concept of periodicity. It requires that effects of transactions and other events are recognized when they occur and not when cash or cash equivalents are received or paid and they are recorded in accounting records and reported in the financial statements for the period to which they relate. The importance of

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accruals is users to get information about past performance involving cash and also information about obligations to pay cash in future and resources which represent cash to be received in future.

Criticism

- a) It introduces complexity into accounting numbers and renders accounting results difficult to interpret by users who are non-accountants.
- b) Proponents of cash flow accounting argue that it reduces complexity and allows a more general understanding of accounting information. Moreover, they argue that cash flow accounting is more relevant to the decisions which businessmen and investors which to take.

Consistency concept

This concept is directed at providing a degree of uniformity in the accounting numbers to enable realistic comparisons to be made by requiring that methods of treating particular items should be followed consistently once they have been adopted.

Importance of consistency concept

- (i) To permit comparisons to be made by reference to the results of previous years by a company in the process of evaluating its own performance and making decisions about the future.
- (ii) To permit useful inter-firm comparisons to be made by investors in the process of selecting and evaluating investment alternatives.

The concept of consistency is at variance with the practice of accounting in several important respects.

- a) Accounting practice permits alternative valuation methods to coexist within the same firm and as between different firms. For example, different firms may select entirely different valuation methods in the allocation and appointment of costs to the stock values.
- b) The practice of accounting requires the exercise of judgment in considering the manner in which particular events should be presented. This has led to serious misunderstanding in the past as regards for example, the valuation of stock items. It is possible for one firm of accountants to give a radically different treatment to a stock item from that of another firm called to give an opinion on the same matter. As a result, disputes have occurred in which the accounting profession has suffered a measure of criticism for not seeming able to keep its house in order.

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These criticisms led to the demand for some degree of standardization of accounting practice and the subsequent development of accounting standards.

Prudence concept

This concept has a pervasive influence on accounting practice. As regards financial statements it is manifested in the following prepositions: -

- a) The accountant should under no circumstances anticipate profit but should provide for potential losses,
- b) Where alternative valuation methods are available that method should be selected which leads to the lowest value

NOTE



In real sense, the concept of prudence reflects the social role which accountants play in providing information to businessmen and investors. Given that optimism tends to cloud judgment of businessmen, the accountant acts as a foil by discounting risk factors in any information which he provides.

The entity concept

The entity concept defines the limits of the financial process by its identification with an organization deemed to have a separate existence from its owner (s). The accounting process is concerned with the activities of the entity and not the activities of its owner or other persons. There are two interpretations of the entity concept.

- a) The proprietary concept which views the entity as a vehicle through which the owner engages in economic activity with a view to make profit. Assets are regarded as belonging to the owner, and the balance sheet reflects the owner's interest in the entity as being the net worth stated as the owner's equity.
- b) The entity concept as distinct from the proprietary concept, views the entity as having a separate identity with its own objectives. This interpretation may be termed as the pure entity

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concept; hence the owner is treated as being merely another interested party having claims against the entity.

NOTE



The sole trader is the best example of the manifestation of the proprietary concept, and the limited liability company is the foremost example of the pure entity concept.

The money measurement concept

This concept limits the recognition of accounting events to those which may be described in money terms. As a result, many factors of considerable economic importance to the entity are not recorded, for example, management expertise, technical competence of employees, good industrial and customer relations. The failure to recognize these factors arise principally from the fact that the accounting process is transaction-based and money value tends to arise mainly from transactions giving rise to rights and obligations susceptible of expression in money values. Although non-monetary measurements bring further clarity and meaning to purely monetary measurements, the major obstacles to widening the basis of the accounting process in this respect are as follows:

- a) Monetary measurements have a unity of meaning which makes them readily understood when communicated as information.
- b) Monetary measurements provide a basis for quite complex financial analysis which relies on numbers having a common denominator.
- c) Non-monetary measurements cannot be integrated meaningfully with monetary measurements to provide a generalized calculus of the value of the firm and its activities.

The dual aspect concept

This concept is the one upon which double entry book-keeping is founded. The manifestation of this concept is the fact that transactions are entered twice, that is, for every credit entry or entries, there is always an equal debit entry or entries. This allows the accounting equation to be maintained throughout the book-keeping system. Although the dual aspect concept relies on faultless mathematical principles,

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which ensures the total debit and credit entries balance when extracted in the form of a trial balance, errors may still occur even in computerized data processing systems. These errors may not only be attributed to input errors but also to erroneous interpretations of the economic events which accounts purport to show.

The periodicity/time interval concept

This states that financial statements are prepared at regular intervals of one year. For example, a balance sheet shows the financial position of a business at a particular date, i.e. end of accounting period. An income statement on the other hand shows the results of business operations over a period of time.

Criticisms:

- a) It may be argued that the only correct measure of enterprise profit is the surplus arising over the entire life and determined at the point of time when all business transactions have been completed and the only remaining asset is cash.
- b) It creates difficulties in allocation of long-term costs as they overlap in many years.
- c) While matching the earnings for any accounting period, all revenues and full costs relating to the year in question have to be taken into account irrespective of whether or not they have been received or paid.
- d) Some businesses may not necessarily go for a whole year.
- e) The periodic income determination leads to comparison of results of successive periods. As the pattern of businesses change due to the degree of complexity overtime, these comparisons may be misleading.
- f) This calls for end of year adjustments which is a tedious process.

The matching concept

This concept supports that of periodicity is assuming that particular items of expense can be associated with revenues of particular periods. That is, in order to establish if an entity has made profits or losses the revenues for a given period have to be matched against expenses incurred in the same period to generate revenue. It also subscribes to the accounting view that cost is an appropriate measure of economic value. Moreover, it assumes that cost flows parallel to the physical flow of goods.

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Criticisms:

- a) The allocation of fixed asset costs and other costs incurred over protracted time make it impossible to cost numbers which are free of bias. Indeed, accounting procedures for allocating and apportioning current production costs are themselves the source of distortions in cost measurement.
- b) It is difficult to determine which costs are associated with which particular revenues.

The materiality concept

This concept holds that for anything to appear in a financial statement, it should be material. That is, it should be of interest to the stakeholders, those people who make use of financial statements. It need not be material to every stakeholder, but it must be material to a stakeholder before it merits inclusion.

Criticisms:

- a) There is no law that lays down what is material and what is not. Businesses fix all sorts of arbitrary rules to what material is and what is not.
- b) It is difficult to determine what material is and what is not. It can be seen that the size and type of business will affect the decision as to which items are material or not.

The substance over form concept

It can happen that the legal form of a transaction can differ from its real value. Where this happens accounting should show a transaction in accordance with its real substance which is basically, how the transaction affects the economic situation of the business. This means that accounting in this instance will not reflect the exact legal position in that transaction. For example the treatment of leases and hire purchase contracts where goods are sold subject to reservation of title.

Criticism:

Using this concept some accountants may try to justify financial reality of an item disregarding its legal form which is very material. In some cases, e.g. in case of default in payment of hire purchase instalments an asset may be repossessed which completely alters the substance and form of the item in question.

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The realization concept

This concept holds that profit is normally regarded as being earned at the time when the goods or services are passed to the customer and he incurs liability for them. This is the point at which the profit is treated as being realized. The realization concept influences financial accounting in two ways.

- a) It acts to mark the recognition of an accounting event and regulate the timing of entries in the bookkeeping system.
- b) It prevents undue optimism in business affairs by restricting the recognition of the gains to those which have been actually realized through a transaction giving rise to legal rights to receive monetary payments.

In essence, the realization concept reflects the spirit of caution and conservation which marks the accountant's approach to the analysis of business activities. It reinforces the cost concept by requiring costs to be accumulated until they may be allocated to the revenues with which they are associated.

Criticism:

The concept may distort the process of profit determination in cases where gains may have accrued over a long period but are not recognized until a sale has occurred. By refusing to recognize holding gains it is argued that accounting process rejects a cardinal feature of profit measurement which is to measure increases in wealth between two points in time. To prevent excessive distortions in certain cases, the realization concept is modified. This is particularly the case in large building engineering projects, where gains are accrued on the certification of work.

The cost concept

This concept means that assets are normally shown at cost price and this is the basis for valuation of the asset. In seeking for objectivity in attaching values to inputs of economic resources, accountants use the acquisition price as the most objective measurement since it is supported by the evidence of a transaction. The cost concept provides uniformity in the treatment of inputs and provides a reliable valuation under conditions of stable prices. The cost concept does not mean that all assets remain on the accounting records at their original cost for all time. The cost of an asset that has long but limited life is systematically reduced during its life by the process of depreciation.

Criticisms:

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- a) Price instability associated with specific inflation and the debasement in the value of money associated with the general inflation undermine the validity of the assumptions upon which the cost concept is based.
- b) The assets shown on financial statements do not necessarily indicate their present market worth or market values. This is contrary to what is believed by an uninformed person reading the financial statements or reports.
- c) Since incurring a cost depends upon a financial transaction there are assets which create income for the firm which can never appear as such in accounts. For example, knowledge and skill created as a result of team work and good organizations, value the firm holds in the market and value of the firm's own information system that will affect the quality of its decision.

The separate determination concept

This concept holds that in determining the aggregate amount of each asset or liability, the amount of each individual asset or liability should be determined separately from all other assets and liabilities. For example, machinery as it may appear on the balance sheet is the sum total of values calculated individually for each of the machines.

2.2.2: Accounting Bases

Accounting bases are the methods which have been developed for expressing or applying fundamental accounting concepts to financial transactions and items. By their nature accounting bases are more diverse and numerous than fundamental concepts, since they evolve in response to the variety and complexity of types of business and business transactions and for this reason, there may justifiably exist more than one recognized accounting basis for dealing with particular items. Examples of matters for which different accounting bases are recognized include; depreciation of fixed assets and valuation of stocks

2.2.3: Accounting Policies

These are the principles, bases, conventions, rules and practices applied by an entity that specify how the effects of transactions and other events are to be reflected in its financial statements through recognising, selecting measurement basis for and presenting assets, liabilities, gains, losses and changes to shareholders' funds. For example, reducing balance method of depreciating motor vehicles.

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Once a policy is adopted, it should be followed consistently and adequate disclosure of policies selected is essential to the fair presentation of financial accounts.



Put a video simulation on discussion pertaining to the accounting concepts, bases and policies underlying the preparation and maintenance of the books of accounts.

2.4: ACTIVITY



Give examples of situations where two accounting concepts or conventions could clash or there could be inconsistency between them and explain how the inconsistency should be resolved

2.5: SUMMARY



Accounting principles are imposed on businesses so that users have a minimum level of consistency in the financial statements they use when analysing businesses for decision making purposes. Accounting principles cover such things as revenue recognition, measurement and recognition of the different elements of financial reports. Businesses are expected to follow accounting principles when reporting their financial data via financial statements. If a financial statement is not prepared using these principles, then users should be wary of the information contained. However users should keep in mind that accounting principles is only a set of standards, there is plenty of room within the principles for unscrupulous accountants to distort figures. Hence even when a business has used the principles, users still need to scrutinize its financial statements.

2.6: FURTHER READING



- Wood. F and Sangster, A. **Business accounting**. Latest edition, London;Prentice hall
- MEIGS. W.B. Johnson C.E and MEIGS- **Accounting for business decisions** latest Edition, New York, and McGraw Hill.
- Warren F. **Financial accounting**. Latest edition
- Wang'ombe D. K. – **Fundamentals of Accounting**, Focus Publishers

2.7: SELF TEST QUESTIONS



QUESTION ONE

Identify and explain the accounting conventions to guide accountants in the treatment of the following items;

- i. The cost of waste paper basket acquired for office use
- ii. Expenses incurred but not recorded because they have not been paid for
- iii. An asset donated to a firm by a charitable organisation
- iv. The systematic allocation of the cost of a fixed asset to expense
- v. Anticipation that 10% of debtors will not be collectible in cash
- vi. The company has employed highly qualified staff. This has been responsible for its good performance of 40% return on investment
- vii. Determination of the span of time covered by an income statement

QUESTION TWO

For each independent situation described below, identify and explain the accounting principle(s) violated or followed. Where there is a violation specify what should have been the correct treatment.

- i. The owner of a firm included medical expenses incurred on his family in the firm's income statement.
- ii. No mention was made of a major lawsuit filed against the business even though the business's lawyer believes there is a high probability of losing the suit
- iii. The company has used a different inventory method in each of the past three years
- iv. Depreciation expense was not recorded because to do so would result in a net loss for the period
- v. The cost of three box files (each costing Ksh 100) was charged to expense when purchased even though they had a useful life of several years.

QUESTION THREE

Some of the conventions of accounting may be in contradiction or in opposition to each other. Illustrate the possible problems/trade-offs between the following conventions.

- i. Prudence and going concern
- ii. Prudence and matching
- iii. Prudence and objectivity
- iv. Prudence and cost assumption

QUESTION FOUR

Does traditional financial accounting using historical cost principle make the going concern assumption unnecessary? Explain your answer fully.

LESSON THREE

RECORDING BUSINESS TRANSACTIONS 3.0: INTRODUCTION



The process of recording business transactions in the books of an entity is referred to as the accounting cycle. The accounting cycle is often described as a process that includes the following steps: identifying, collecting and analysing documents and transactions, recording the transactions in journals, posting the journalized amounts to accounts in the general and subsidiary ledgers, preparing an unadjusted trial balance, perhaps preparing a worksheet, determining and recording adjusting entries, preparing an adjusted trial balance, preparing the financial statements, recording and posting closing entries, preparing a post-closing trial balance, and perhaps recording reversing entries.

3.1: LEARNING OBJECTIVES



By the end of this lesson learners should;

- Be in a position to identify the various source documents
- Have a good understanding of the journal as the prime book of entry and the making of journal entries
- Appreciate the process of posting transactions to the ledger accounts
- Appreciate the process of balancing the ledger accounts and extraction of the trial balance
- Be in a position to prepare the basic financial statements.

3.2: GENERAL OVERVIEW

This is the process of accounting from opening the books at the start of the year to closing them at the end of the year and extracting the financial statements. It typically involves four levels;

- Transaction documents
- Journals
- Ledgers
- Financial statements

3.3: TRANSACTION DOCUMENTS/SOURCE DOCUMENTS

These are documents that acknowledge the exchange of value between the business and another entity. They are collected, filed and posted in the books of prime entry. Examples of source documents include;

(i) Sales Invoice

Document produced by a selling business for each credit sale made to a buyer showing full details of the goods sold, prices of the goods and any trade discount. It's an original document that provides financial information that will be subsequently recorded in the ledger. The seller will retain one or more copies of each of this document and give or send another to the buyer.

(ii) Purchases Invoice

Document made out by the supplier showing full details of goods, prices and any trade discount of goods bought by a business on credit from a supplier. It is an original document providing financial information that will be recorded in the ledger subsequently.

(iii) Credit note

It is a type of refund document showing full details of returned goods, the prices and any trade discount which reduces the amount owed by the buyer. This is issued when goods bought are returned either because the goods supplied were the wrong color, were deficient or may have got damaged in transit.

(iv) Debit note

A document sent by a customer to the supplier showing clear details of goods being returned and reasons for the return if the supplier accepts to a return of goods previously bought on credit.

(vi) Receipts

A receipt is raised by the firm and issued to customers or debtors when they make payments in the form of cash or cheques. Receipts will also be received by the business upon payments made in the form of cash or cheques to suppliers. It is a summary of the cashbook revealing everything that took place financially during a period.

(vii). Cheques

When a firm opens a current account with the bank, a chequebook containing cheques issued. The cheques are an order to the bank to pay a stated sum of money to the person named in it.

(viii). Petty cash vouchers

A petty cash voucher is raised by a cashier to seek authority for payments (payments of small value in the firm which require cash payments e.g. fuel, bus-fare, office snacks), which is approved by a senior manager and filed for record purpose. It is filled in by members of staff who need to claim money out of petty cash and are expected to obtain receipts for purchased items that are then attached to the petty cash vouchers.

(ix) Other correspondence

These include information received within or outside the firm that has a financial implication in the accounts. Examples include:

- Letters from the firm's lawyers about a debtors balance.
- Hire-purchase/credit sale or credit purchase agreements that relate to fixed assets.
- Memorandum from a senior manager requiring changes to be made in the accounts.
- Bank statement from the bank, e.g. bank charges.



Put a video simulation on the discussion of the different types of source or transaction documents.

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3.4: THE JOURNAL

A journal is a form of recording transactions in a chronological order. The word journal comes from the Latin word *diurnalis* which means daily. Business transactions are conducted on daily basis and therefore to avoid overloading book keeping work, the businesses make entries in respective journals on daily basis. In the ordinary usage of the word, a journal is just a log book, a place where a record of the history of transactions and events usually in a chronological order is maintained. There are two types of journals;

Advantages of journals

- The journal shows all information about a transaction in one place and also provides an explanation of the transaction. In a journal entry the debt and credits for a given transaction are recorded together, but when transaction is recorded in the ledger the debts and credits are entered in different accounts. Since a ledger may contain hundreds of accounts it would be difficult to locate all the facts about a particular transaction by looking in the ledger.
- The journal provides a chronological record of all the events in the life of a business. If we want to look up the facts about a transaction of some months or years back, all we need is the date of the transaction in order to locate it in the journal.
- The use of a journal helps prevent errors. If transactions were recorded directly in the ledger, it would be very easy to make errors such as omitting the debit or the credit, or entering the debit twice or the credit twice. Such errors are not likely to be made in the journal, since the off-setting debts and credits appears together for each transaction.

NOTE



Many businesses maintain several types of journals. The nature of operations and the volume of transactions in the particular business determine the number and type of journals needed. The simplest type of journal is called the **General Journal or Principal journal**. It has only two money columns, one for debits and the other for credits; it may be used for all types of transactions.

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General format of the journal

Date	Description	Folio	Debit (Dr.)	Credit (Cr.)

The process of recording a transaction in a journal is called journalizing the transaction. The efficient use of a general journal requires two things;

- Ability to analyse the effect of a transaction upon assets, liabilities and owner's equity and
- Familiarity with the standard form and arrangement of journal entries.

NOTE



In recording data from the source documents to the journal, the double entry system of book keeping is used.

Double entry system of book-keeping and the accounting equation

The double entry system is a book keeping system where every business transaction has to be recorded twice i.e. once as a debit and once as a credit. The following book keeping rules should be observed when recording transactions based on the double entry system.

- Increase in assets is debited and a decrease in assets credited.
- Increase in liabilities is credited and a decrease in liabilities debited.
- Expenses are debited in their respective ledger accounts.
- Incomes are credited in their respective ledger accounts.

- Increase in capital is credited but decrease is indirectly debited through the drawings account.

Based on this system of book keeping the accounting equation is fulfilled. The accounting equation is expressed as follows;

$$\text{ASSETS} = \text{CAPITAL} + \text{LIABILITIES}$$

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ILLUSTRATION ONE

Josh started a business on 1st December 2015 by investing Ksh 200,000 deposited in the bank account and furniture worth Ksh 50,000. Transactions during the month were as follows;

December 1: Paid rent for December for Ksh 14,050 by cheque

2: Drew Ksh 40,000 from bank for office use

3: Paid Ksh 11,600 cash for renovations of premises

8: Paid Ksh 7,000 cheque for advertisements

13: Bought goods for sale on credit from Mwanza Ltd at Ksh 230,000

14: Sold goods on cash basis for Ksh 120,000

14: Paid wages of Ksh 30,900 by cheque

15: Withdrew Ksh 5,330 from the business in cash for personal use

15: Paid electricity for Ksh 3,000 cash

16: Deposited Ksh 50,000 of the business's to the bank account

19: Purchased goods for sale on credit from Biashara worth of Ksh 140,000

19: Sold goods worth Ksh 200,000 to Kirui on credit

20: Paid Ksh 123,390 to Mwanza Ltd through the bank

20: Paid cash maintenance service cost of Ksh 810 and Ksh 1,200 for cleaning the office

23: Received Ksh 100,000 by cheque from Kirui

25: Paid Ksh 3,500 for telephone on cash basis

29: Purchased a computer for Ksh 30,000 by cheque

30: Paid Ksh 1,500 for a three month insurance policy on cash basis

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31: Sold goods worth Ksh 120,000 on cash basis

Required

Journalise the above transactions

Solution

Date	Description	Folio	Dr	Cr
1/12/2015	Bank A/c Furniture A/c Capital A/c (To record the introduction of capital)	CB GL GL	200,000 50,000	250,000
1/12/2015	Rent expense A/c Bank A/c (To record the payment of rent)	GL CB	14,050	14,050
2/12/2015	Cash A/c Bank A/c	CB CB	40,000	40,000

	(To record withdrawal from the bank for business use)			
3/12/2015	Repairs & Maintenance expense A/c Cash A/c (To record payment of cash for renovation of premises)	GL CB	11,600	11,600
8/12/2015	Advertisement Expense A/c Bank A/c (To record payment of advertising through the bank)	GL CB	7,000	7,000
13/12/2015	Purchases A/c Mauzo Ltd.'s A/c (To record purchase of goods on credit)	GL PL	230,000	230,000

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14/12/2015	Cash A/c Sales A/c (To record sale of goods on cash basis)	CB GL	120,000	120,000
14/12/2015	Wages expense A/c Bank A/c (To record payment of wages by cheque)	GL CB	30,900	30,900
15/12/2015	Drawings A/c Cash A/c (To record withdrawal of cash from business for personal use)	GL CB	5,330	5,330
15/12/2015	Electricity expense A/c Cash A/c (To record payment of electricity on cash basis)	GL CB	3,000	3,000
16/12/2015	Bank A/c Cash A/c (To record deposit of cash to the bank)	CB CB	50,000	50,000
19/12/2015	Purchases A/c Biashara's A/c (To record the purchase of goods on credit)	GL PL	140,000	140,000
19/12/2015	Kitur's A/c Sales A/c (To record sale of goods on credit)	SL GL	200,000	200,000
20/12/2015	Mauzo Ltd.'s A/c Bank A/c (To record payment to suppliers)	PL CB	123,390	123,390

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20/12/2015	Repairs & maintenance expense A/c Cleaning expense A/c Cash A/c (To record payment of expenses on cash basis)	GL GL CB	810 1,200	2,010
23/12/2015	Bank A/c Kitur's A/c (To record receipt of cheque from a customer)	CB SL	100,000	100,000
25/12/2015	Telephone Expense A/c Cash A/c (To record payment of telephone bill on cash basis)	GL CB	3,500	3,500
29/12/2015	Computers A/c Bank A/c (To record the purchase of computer by cheque)	GL CB	30,000	30,000
30/12/2015	Insurance expense A/c Cash A/c (To record the payment of insurance on cash basis)	GL CB	1,500	1,500
31/12/2015	Cash A/c Sales A/c (To record sale of goods on cash basis)	CB GL	120,000	120,000

NOTE



The folio column indicates the ledger in which the respective account is located. These ledgers are CB- Cashbook; PL- Purchases Ledger; SL- Sales Ledger and GL- General Ledger. These ledgers are explained in detail in the next step of the accounting cycle.

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Put a video simulation on the journalisation of accounting transactions.

ILLUSTRATION TWO

Mauryn Mwangi, a CPA (K) resigned from her position with a large audit firm in order to begin her own public accounting practice. The business transactions during September while the new venture was organized are listed below.

- Sept 1: Mwangi opened a bank chequing account in the name of her firm, Mauryn Mwangi, Certified Public Accountant; by depositing Ksh 32, 000,000 which she had saved over a period of years.
- Sept 10: Purchased a small office building located on a large lot for a total price of Ksh 91,200,000 of which Ksh48,000,000 was applicable to the land andKsh 43,200,000 to the building. A cash payment of Ksh 18,240,000 was made and a note payable was issued for the balance of the purchase price.
- Sept 15: Purchased a Microcomputer system from Computer Stores Inc., for Ksh 4,680,000 cash.
- Sept 19: Purchased office furniture, filing cabinets and a type writer form Davidson Office Supply Co. at a cost of Ksh3,960,000. A cash down payment of Ksh720,000 was made, the balance to be paid in three equal instalments due September 28th, October 28th and November 28th. The purchase was on open account and did not require signing for a promissory note.
- Sept 26: A Kshs140, 000 monitor in the Microcomputers systems purchased on September 15 stopped working. The monitor was returned to the Computer Stores Inc., which promised to refund the Ksh 140,000 within 5 days.
- Sept 28: Paid Davidson Office Supply Co, Ksh 1,080,000 cash as the first instalment due on the account payable for the office equipment.
- Sept 30: Received Ksh 140,000 cash from computers stores, Inc., in full settlement of the account receivable created on September 26th.

Required:-

Prepare journal entries to record the above transactions (select the appropriate account titles from the following chart of accounts)

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- Bank
- Office equipment
- Accounts receivable
- Notes payable
- Land
- Accounts payable
- Building
- Mauryn Mwangi, Capital.

Solution	Date	Description	Folio	Debit	Credit
	1-Sep	Bank A/C		32,000,000	
		Mauryn Mwangi, Capital A/C			32,000,000
		(To record Mauryn Mwangi Capital)			
	10	Land A/C		48,000,000	
		Building A/C		43,200,000	
		Cash A/C			18,240,000
		Notes payable A/C			72,960,000
		(To record purchase of land & building)			
	15	Office equipment (Computer) A/C		4,680,000	
		Cash A/C			4,680,000
		(To record cash purchase of Microcomputer)			
	19	Office equipment A/C		3,960,000	
		Cash A/C			720,000
		Accounts payable (Davidson)			3,240,000
		(To record purchase of office equipment)			

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26	Accounts receivable	140,000	
	Office equipment A/C		140,000
	(To record the return of monitor to the supplier)		
28	Accounts payable (Davidson)	1,080,000	
	Cash A/C		1,080,000
	(To record payment of 1st instalment to Davidson)		
30-Sep	Cash A/C	140,000	
	Accounts receivables		140,000
	(To record cash received from Davidson)		



Put a video simulation on the journalisation of accounting transactions.

3.4: LEDGER

A ledger is an accounting book that facilitates the transfer of all journal entries in a chronological sequence to individual accounts. In manual accounting systems, a ledger is usually a loose leaf binder with a separate page for each ledger account. In computerized systems, it consists of interlinked digital files, but follows the same accounting principles as the manual system.

Types of ledgers

There are two main ledgers that a business can maintain;

General ledger

This is the master set of accounts that summarize all transactions occurring within an entity. The general ledger is used to aggregate information into the financial statements of a business either automatically using an accounting software, or by manually compiling financial statements from the information in a trial balance report (which is a summarization of the ending balances in the general

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ledger). The general ledger contains a debit and credit entry for every transaction recorded within it, so that the total of all debit balances in the general ledger should always match the total of all credit balances. If they do not match, the general ledger is said to be out of balance, and must be corrected before reliable financial statements can be compiled from it. The general ledger is comprised of all the individual accounts needed to record the assets, liabilities, equity, revenue, expense, gain, and loss transactions of a business. In most cases, detailed transactions are recorded directly in these general ledger accounts.

Subsidiary Ledgers

A subsidiary ledger is a ledger designed for the storage of specific types of accounting transactions. Subsidiary ledgers are used when there is a large amount of transaction information that would clutter up the general ledger. This situation typically arises in businesses with significantly large number of transactions. Thus, there is no need for a subsidiary ledger in a small company. The main subsidiary ledgers include;

Purchases ledger

A purchases ledger is a system in accountancy by which a business records and monitors its creditors. The purchase ledger contains the individual accounts of suppliers from whom the business has made purchases on credit. Information on invoices and credit notes received, and payments made, are recorded in the supplier's account using the debits and credits system, with the balance of each account at a given moment representing the amount currently owed to that supplier. Historically, the purchase ledger was maintained in book form, hence the term ledger, but in modern practice it is much more likely to be held on computer using accountancy software or a spread sheet. The purchase ledger will ordinarily hold a credit balance, unless credit notes or over-payments exceed the credit balance.

Sales ledger

A sales ledger is a system in accountancy by which a business records and monitors its debtors. It contains the individual accounts of customers to whom the business has made sales on credit. Information on invoices and credit notes received, and payments recorded, are recorded in the customer's account using the debits and credits system, with the balance of each account at a given

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moment representing the amount currently owed by the customer. Historically, the sales ledger was maintained in book form, hence the term ledger, but in modern practice it is much more likely to be held on computer using accountancy software or a spread sheet. The sales ledger will ordinarily hold a debit balance, unless credit notes or over-payments exceed the debit balance.

Cash book

This is a subsidiary ledger that contains the cash account and the bank account. These accounts are used to record all the transactions that the business has conducted on cash basis i.e. all cash receipts and all cash payments.

Ledger accounts

These are the individual accounts in a ledger. A ledger account is a means of accumulating in one place all the information about changes in a specific asset, a liability or owners' equity e.g. a ledger account for the asset cash provides a record of the amount of cash receipts, cash payments and the current cash balance. By maintaining a cash account management can keep track of the amount of cash available for meeting payroll needs and for making current purchases or services. This record of cash is also useful in planning future operations and in advance planning of applications for bank loans.

Format of a Ledger Account.

Left side or Debit side			Right side or Credit side		
Date	Description	Amount	Date	Description	Amount

A ledger account has three elements:

- A Title consisting of the name of the particular asset, liability or owner's equity
- A left side or debit side- • A right side or credit side.

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Credit and debit entries.

An amount recorded on the left side or debit side of an account is called a **debit** or a **debit entry**, an amount entered on the right side is called a **credit** or a **credit entry**.

Posting

The process of transferring the debits and credits from the general journal to the proper ledger accounts is called posting. Each amount listed in the debit column of the journal is posted by entering it on the debit side of an account in the ledger and each amount listed in the credit column of the journal is posted to the credit side of a ledger account

Procedure of posting.

- Locate in the ledger the first account named in the journal.
- Enter in the debit side column of the ledger account the amount of the debit as shown in the journal.
- Enter in the credit side column of the ledger account the amount of the credit as shown in the journal.

Balancing off accounts

Balancing off account means to insert difference on one side of any account carry it down to the other side. This is usually done at the close of the business and the balance is taken down to start of the following day, month, quarterly, etc.

ILLUSTRATION

Dr	Bank Account				Cr
Sep 1	Mauryn's Capital A/C	32,000,000	Sep 10	Land/ building A/C	18,240,000
Sep 30	Account receivable	140,000	Sep 15	Office Equipments A/C	4,680,000
			Sep 19	Office Equipments	720,000
			Sep 28	Accounts payable	1,080,000

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		Sep 30	Balance c/d	7,420,000
				<u>7,420,000</u>
	<u>32,140,000</u>			<u>32,140,000</u>
1 Oct bal b/d	7,420,000			

Dr Mauryn's Capital Account			Cr		
Sep 30	Balance c/d	<u>32,000,000</u>	Sep 1	Cash A/C	<u>32,000,000</u>
		<u>32,000,000</u>			<u>32,000,000</u>
			Oct 1	Balance b/d	32,000,000

Dr Land Account			Cr		
	Cash / Notes payable				
	A/Cs	48,000,000			48,000,000
		<u>48,000,000</u>			<u>48,000,000</u>
Sep 10	Balance b/d	48,000,000	Sep 30	Balance c/d	48,000,000
		<u>48,000,000</u>			<u>48,000,000</u>
Oct 1					

Dr Building Account			Cr		
Sep 10	Cash A/C Notes payable	43,200,000	Sep 30	Balance c/d	43,200,000
		<u>43,200,000</u>			<u>43,200,000</u>
Oct 1	Balance b/d	43,200,000			<u>43,200,000</u>

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Dr Notes payable Account			Cr		
Sep 10	Balance c/d	72,960,000	Sep 10	Land and Building A/Cs	72,960,000
		<u>72,960,000</u>			<u>72,960,000</u>
			Oct 10	Balance b/d	<u>72,960,000</u>

Dr Office Equipment Account			Cr		
Sep 15	Cash A/C	4,680,000	Sep 26	Accounts receivables	140,000
Sep 19	Cash A/C	720,000	Sep 30	Balance c/d	8,500,000
Sep 19	Accounts payable	3,240,000			
		<u>8,640,000</u>			<u>8,640,000</u>
1 Oct					
	Bal b/d	<u>8,500,000</u>			

Dr Accounts payable Account			Cr		
Sep 28	Cash A/C	1,080,000	Sep 19	Office equipment A/C	3,240,000
Sep 30	Balance c/d	2,160,000			
		<u>3,240,000</u>			<u>3,240,000</u>
				Balance b/d	<u>2,160,000</u>

Dr Accounts receivable Account			Cr		
Sep 26	Office equipment A/C	140,000	Sep 30	Cash A/C	140,000
		<u>140,000</u>			<u>140,000</u>



Put a video simulation on the posting of transactions to the ledgers from the journal using the double entry concept as well balancing off of the ledger accounts

3.5: TRIAL BALANCE

The trial balance is a two-column schedule listing the names and balances of all the accounts in the order in which they appear in the ledger. The debit balances are listed in the left hand column and the credit balances in the right- hand column. Since equal shilling amounts of debits and credits are entered in the account for every transaction recorded, the sum of all the debits in the ledger must be equal to the sum of all the credits. If the computation of account balances has been accurate it follows that the total of the accounts with debit balances must be equal to the total of accounts with credit balances. Before using the account balances to prepare the financial statements, it is desirable to prove that the total of accounts with debit balances is in fact equal to the total of accounts with credit balances.

Uses of a trial balance

- Assures that equal debits and credits have been recorded for all the transactions.
- Assures the debit or credit balance of each account has been correctly computed.
- The addition of the account balances in the trial balance has been correctly performed.

Limitations

- The preparation of a trial balance does not prove that the transaction has been correctly analysed and recorded in the proper accounts
- There are some errors that are not disclosed by trial balance.

Format of the trial balance Name of the Business (XYZ Co. Ltd) Trial balance Date asat (Date, Month and Year)

Account Title	Debit	Credit

Susan Cole Trial Balance As at 30th September

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	Debit	Credit
	Ksh	
Cash	7,420,000	
Susan Cole, capital		32,000,000
Land	48,000,000	
Building	43,200,000	
Notes payable		72,960,000
Office equipment		2,160,000
Account payables	8,500,000	
	107,120,000	107,120,000



Put a video simulation on the

extraction of the trial
balance after the posting and balancing

of the ledger accounts

3.5.1: Accounting Errors and their correction There are two types of errors in accounts:

- Errors that don't affect the trial balance
- Errors that affect the trial balance

Errors that don't affect the trial balance

These are errors that cannot be discovered through the preparation of the trial balance. The trial balance produced from the accounts appears to be okay/correct, i.e. the debits are the same as the credits.

However, on taking a close check on the balances and transactions posted, errors may have been made and therefore the balances shown on the trial balance may be incorrect i.e. under/over stated. There are six main types of errors that don't affect the trial balance and these are explained as follows:

a) Error of omission

This is where a transaction is completely omitted from the books of account. If goods worth Shs400 are sold to Jane, but not entered in the sales or Jane's personal account, the trial balance would still

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'balance'. The effect of the error is to understate both the debtors and the sales. To correct this error, the sale is entered in the books by:

Dr. Jane A/c	400
Cr. Sales A/c	400

Correction of omission of sales invoice from sales journal

b) Error of Commission

This error occurs when the correct amount is entered but in the wrong person's account e.g. a sale of Shs.200 to T Thompson is entered in the account of L Thompson's. The correct class of account was used since both accounts concerned being personal accounts who are debtors. To correct this error it must be cancelled out of L Thompson's account and then entered where it should be in T Thompson's account.

Dr. T Thompson A/c	200
Cr. L Thompson A/c	200

Purchase invoice entered in wrong personal account now corrected.

c) Error of principle

In this type of an error an item is entered in the wrong class of account e.g. If motor vehicle purchased for Shs 400,000 is debited to the motor vehicle expenses account instead of the motor-vehicles account. The motor vehicles account is a non-current asset, and motor vehicles expenses account is an expense account. To correct this error, cancel the item out of the motor vehicle expense account by crediting that account and then entered where it should be by debiting motor vehicles account.

Dr. Motor vehicles A/c	400,000
Cr. Motor expenses A/c	400,000

Correction of error: purchase of fixed asset debited to an expense account.

d) Complete reversal of entries

This is an error where correct accounts are used but each item is shown on the wrong side of the account. I.e. a debit is posted as a credit and a credit is posted as a debit e.g. a cash payment of Shs. 1500

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to James was entered on the receipts side of the cash book in error and credited to James's account. To correcting entry will be double the amount first recorded because first there's the amount needed to cancel the error then the actual entry.

Dr. James A/c	3000
Cr. Cash A/c	3000

Payment of cash shs.1500 debited to cash and credited to James in error, now corrected.

e) Error of Original entry

This is an error where a transaction amount original figure is incorrect yet the double entry is still observed using the incorrect figure giving rise to either an under or over stated amount. E.g. a sale of Shs.1500 to Simon entered in the books as Shs. 1300. It needs another shs.200 of sales entering now.

Dr. Simon A/c	200
Cr.Sales A/c	200

Correction of error whereby sales were understated by shs.200

f) Compensating Errors

This arises where errors cancel out each other i.e. if the effect of one error is to understate the debits or credits then another error may take place to overstate the debits or credits by the same amount. For instance if the sale account was added up to be shs.1000 too much and the purchases account also added up to be shs.1000, then these two errors would cancel out in the trial balance. E.g. the sales account is overcast by shs.1000 and also is the wages account. The trial balance still balances assuming these are the only two errors found in the books

Dr. Sales A/c	1000
Cr. Wages A/c	1000

Correction of overcasts in the sales and wages account which compensated for each other.

Errors That Affect the Trial Balance

These are errors that lead to the total debits in the trial balance not being equal to the total credits due to:-

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- Incorrect additions in the accounts
- Making of a single entry i.e. on only one side of the accounts- debit or credit
- Entering a different amount on the debit side from that on the credit side

Where such errors arise, the trial balance totals are made to agree by inserting the amount of the difference between the two totals. This is done in a Suspense account as a temporary measure waiting a decision on what to do with it. It remains as a constant reminder of some undiscovered errors in the books of accounts.

NOTE



To correct the above errors, the appropriate or the adjusting entries are made through an account called a suspense account. The difference in the accounts is posted to this account and the entries to correct the accounts are posted here. The balance to be shown on the suspense accounts depends on which side the error is shown on the trial balance. If the debits are greater than the credits, then an amount is included on the credit side of the trial balance so that the debits are equal to the credits. This is a credit balance and will be taken to the suspense account on the credit side.

3.6: BASIC FINAL ACCOUNTS

The trial balance forms the link between bookkeeping and the preparation of the final accounts. The final accounts are structured financial presentations of the financial position of an entity as well as the results of its transactions. The main objective of the final accounts is to provide information and performance of the entity that is useful to the users in making decisions. A basic set of final accounts includes the;

Income Statement

This was previously referred to as the Trading, Profit and Loss account. It is a summary statement that shows the results of activities during the accounting period. It includes summary totals of incomes i.e. sales revenues and cost of those sales together with the expenses incurred to facilitate the operations of the business. The statement indicates whether a business has made a profit or loss. The income

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statement indicates the gross profit as well as the net profit/loss. The gross profit is the difference between sales revenue and the cost of sales. The part of the statement that derives the gross profit represents the trading account. The net profit/loss represents the difference between the gross profit and the expenses incurred by the business. The net profit goes towards increasing the owner's interest in the business while the net loss reduces the interest. The part of the statement that derives the net profit/loss represents the profit and loss account. The general format of an income statement is as follows;

MUSA ENTERPRISES INCOME STATEMENT FOR THE YEAR ENDING XXXX (DAY/MONTH/YEAR)

	KSHS	KSHS	KSHS
Sales			XXX
Less cost of sales:			
Opening stock	XXX		
Add purchases	<u>XXX</u>		
Cost of goods available for sale		XXX	
Less closing stock		<u>(XXX)</u>	
			<u>(XXX)</u>
Gross profit			XXX
Less expenses			<u>(XXX)</u>
Net profit (loss)			<u>XXX</u>

NOTE



As indicated above, the gross profit is generated from the difference between the sales revenue and the cost of sales/cost of goods sold. The cost of sales is the cost of purchases adjusted for any unsold goods at the beginning and end of the financial year. It is unlikely for a business to have sold all the goods at any particular date. In most cases, there will be stock in hand at the end of the trading period. For purposes of drawing the final accounts, this stock is counted and valued at the end of the period. The figure obtained is normally referred to as the closing stock which subsequently becomes the opening stock in the following trading period. The opening stock will normally be given as a debit in the trial balance while the closing stock will normally be given as a note at the end of the trial balance. The Closing stock is not shown in the trial balance since it simply represents that part of purchases that has not yet been sold. No separate account is opened for closing stock inside the general ledger.

Statement of Financial Position

This was previously referred to as the balance sheet. It shows the assets, liabilities and capital of a business as at a given day usually the last day of the accounting period. In preparing this statement the noncurrent assets of a business are shown separately from the current assets. Similarly the long term liabilities are shown separately from the current liabilities.

NOTE



The statement of financial position is structured in a manner that the total assets of an entity equal to the sum of liabilities and equity. This is based on the logic that the assets of a business may be financed from internal sources (i.e. capital and profits) or from external sources (liabilities). Since the total assets of a business must be equal to the amount of capital invested by the owners (i.e. in the form of capital and profits not withdrawn) and any borrowings, the total assets of a business must equal to the sum of equity and liabilities hence the accounting equation; ***ASSETS = CAPITAL(EQUITY) + LIABILITIES.***

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The general format of the statement of financial position is as follows;

MUSA ENTERPRISES

STATEMENT OF FINANCIAL POSITION

AS AT XXXX (DAY/MONTH/YEAR)

	KSHS	KSHS	KSHS
NON CURRENT ASSETS			
Land			XXX
Buildings			XXX
Motor vehicles			XXX
Machinery			XXX
Furniture & Fittings			XXX
Others			<u>XXX</u>
Total Non-current assets			XXX
CURRENT ASSETS			
Stock		XXX	
Debtors		XXX	
Cash at bank		XXX	
Cash in hand		<u>XXX</u>	
Total current assets			<u>XXX</u>
TOTAL ASSETS			<u>XXX</u>
CAPITAL & LIABILITIES			
CAPITAL			XXX
Add (Less) Net profit (Loss)			<u>XXX</u>
Owner's equity			XXX

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LONG TERM LIABILITIES:			
Loans	XXX		
Others	XXX		
Total long term liabilities		XXX	
CURRENT LIABILITIES			
Creditors	XXX		
Bank overdraft	<u>XXX</u>		
Total current liabilities		<u>XXX</u>	
Total Liabilities			<u>XXX</u>
TOTAL CAPITAL EMPLOYED			<u>XXX</u>

It can also be presented using the following alternative format

MUSA ENTERPRISES

STATEMENT OF FINANCIAL POSITION

AS AT XXXX (DAY/MONTH/YEAR)

	KSHS	KSHS	KSHS
NON CURRENT ASSETS			
Land			XXX
Buildings			XXX
Motor vehicles			XXX
Machinery			XXX
Furniture & Fittings			XXX
Others			<u>XXX</u>
Total Non-current assets			XXX
CURRENT ASSETS			

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Stock		XXX	
Debtors		XXX	
Cash at bank		XXX	
Cash in hand		<u>XXX</u>	
Total current assets		XXX	
LESS CURRENT LIABILITIES:			
Creditors	XXX		
Bank overdraft	<u>XXX</u>		
Total current liabilities		<u>(XXX)</u>	
Net Current assets			<u>XXX</u>
NET ASSETS			<u>XXX</u>
FINANCED BY:			
CAPITAL			XXX
Add(Less) Net profit(Loss)			<u>XXX</u>
Owner's Equity			XXX
LONG TERM LIABILITIES:			
Loans			<u>XXX</u>
CAPITAL EMPLOYED			<u>XXX</u>



Put a video simulation demonstrating the two formats that can be used to prepare and present the statement of financial position.

3.7: ACTIVITY



Using the previous illustration on Musa enterprises prepare and present the business's statement of financial position using the alternative format.

3.8: SUMMARY



Accounting cycle is the collective process of recording and processing the accounting events of a business. The series of steps begin when a transaction occurs and end with its inclusion in the financial statements. The major steps involved in the cycle are: Collecting and analysing data from transactions and events; Putting transactions into the general journal; Posting entries to the general ledger; Preparing an unadjusted trial balance; Adjusting entries appropriately; Preparing an adjusted trial balance; Organizing the accounts into the financial statements; Closing the books and preparing a post-closing trial balance to check the accounts.

3.9: FURTHER READING



- Wood. F and Sangster, A. **Business accounting**. Latest edition, London;Prentice hall
- MEIGS. W.B. Johnson C.E and MEIGS- **Accounting for business decisions** latest Edition, New York, and McGraw Hill.
- Warren F. **Financial accounting**. Latest edition
- Wang'ombe D. K. – **Fundamentals of Accounting**, Focus Publishers

3.10: SELF TEST QUESTIONS



QUESTION ONE

Indicate the effect on the elements of the accounting equation of the following transactions by selecting the most suitable description from items i to vii.

- a) Owner invested cash in the business
- b) Owner borrowed money from the bank for business use
- c) Purchase of land for cash
- d) Payment of an amount owed to a supplier
- e) Purchase of office equipment on credit
- f) Sale of a portion of land at proportionate cost to a person who agrees to pay in 3 months
- g) Purchase of a motor vehicle paying 60% of the cost immediately and agreeing to pay the balance within 2 months

Descriptions of effects to choose from

- i. Increased assets and liabilities ii. Increased assets, liabilities and capital
- iii. Increased assets and capital iv. Decreased assets and liabilities
- v. Decreased assets, liabilities and capital
- vi. Decreased assets and capital vii. No effect on assets.

QUESTION TWO

A trial balance fails to balance. In looking for the error you find that office equipment has a debit balance of Ksh 1,560,000. However you discover that a transaction for the purchase of a computer for Ksh 110,000 had been recorded with a Ksh 110,000 credit to office equipment and Ksh 110,000 credit

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to accounts payable. Answer each of the following questions, giving the amount of the misstatement, if any;

- i. Was the balance of the office equipment account overstated, understated or correctly stated in the trial balance?
- ii. Was the balance of the accounts payable account overstated, understated or correctly stated in the trial balance?
- iii. Was the debit column total of the trial balance overstated, understated or correctly stated? iv. Was the credit column total of the trial balance overstated, understated or correctly stated?
- v. If the debit column total of the trial balance was Ksh 14.2m before the error was corrected, what was the total of the credit column?

QUESTION THREE

After playing several seasons of professional football, George Mbataru had saved enough money to start a business, to be called Number One Auto Rental. The transactions during March while the new business was being organized are listed below:

- March 1** George Mbataru invested Shs 7 million cash in the business by making a deposit in a bank account in the name of the new firm.
- 3** The new firm purchased land and building at a cost of Shs 6 million, of which Shs. 3.6 million was regarded as applicable to the land and Shs. 2.4 million to the building. The transaction involved immediate payment by cheque of Shs 2,075,000 and a promise to pay the balance on April 3.
- 5** Purchased 20 new motor vehicles at Ksh 430,000 each from Fleet Sales Company. Paid 2 million by cheque, agreed to pay Shs. 1.6 million by March 31 and the remaining balance by April 15.
- 7** Sold one motor vehicle at cost to George's father in law, Suleiman, who paid Shs. 220,000 in cash and agreed to pay the balance within 30, days.
- 8** One of the vehicles was found to be defective and was returned to Fleet Sales Company. The amount payable to this creditor was thereby reduced by Shs. 430,000
- 20** Purchased office equipment at a cost of Shs. 200,000 cash.
- 31** Issued a cheque for Shs. 1.6 million in partial payment of the liability to fleet sales company.

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Required:

- a) Journalise the above transactions.
- b) Post to the respective ledger accounts
- c) Extract a trial balance as 31st March

QUESTION FOUR

John Maingi a CPA (K) completed the following transactions during June 2015.

- June 1** began a public accounting practice by investing Sh 342,000 in cash and office equipment having a Sh 486,000 fair value.
- June 1** Paid three months' rent in advance on suitable office space, Sh 135,000
- June 2** Purchased on credit office equipment Sh 48,000 and office supplies, Sh 18,000
- June 4** Completed accounting work for a client and immediately received payment of Sh 21,000 cash.
- June 8** Completed accounting work on credit for Real Juan Sh 102,000
- June 10** Paid for the items purchased on credit on June 2
- June 14** Paid the annual Sh 144,000 premium on an insurance policy
- June 18** Received payment in full from Real Juan for the work completed on June 8
- June 24** Completed accounting work on credit for Bungoma Construction Sh 24,000
- June 28** John Maingi withdrew Sh 60,000 cash from the practice to pay personal expenses.
- June 29** Purchased additional office supplies on credit Sh 7200
- June 30** Paid the June utility bills Sh 12,600.

Required:

- a. Prepare a general Journal entries to record the transactions
- b. Post to the appropriate ledger accounts
- c. Prepare a trial balance as at 30th June 2015.

LESSON FOUR

END OF YEAR ADJUSTMENTS 4.0: INTRODUCTION



End-of-period-adjustments in accounting are journal entries made to the accounts of a business prior to the preparation and distribution of the financial statements for a given accounting period. End-of-period adjustments ensure that the financial statements reflect the true financial position and performance of a business by allocating to the appropriate period the income earned and expenses incurred.

4.1: LEARNING OBJECTIVES



By the end of this lesson learners should be;

- Able to identify the need for adjustments of accounts
- In a position to undertake basic accounting for depreciation expense
- In a position to make various adjustments in conformity with the accrual concept of accounting

4.2: GENERAL OVERVIEW

End-of-period-adjustments are completed by accountants and bookkeepers immediately prior to the preparation and presentation of the financial statements. Financial statements are prepared at the end of each accounting period which can be monthly for large corporations or annually for small to medium enterprises. The primary purpose of completing the balance-day-adjustments is to ensure that the financial statements accurately reflect the financial position and performance of the business.

Stakeholders in a business venture use the financial statements to make decisions, particularly about the best use of financial resources under their control. It is very important then for accountants and bookkeepers to present accurate financial statements so that sound financial resource decisions can be made by these stakeholders.

4.3: ADJUSTING ENTRIES

4.4: ACTIVITY



4.5: SUMMARY



The revenue recognition principle is the basis for making adjusting entries at the year end. These are necessary to better match the revenues and expenses that occurred during the accounting year.

Adjusting entries are used to record the economic events. All these actions of adjusting is to reflect on the true and fair situation so that the profits, assets and liabilities of the company is fully stated and recorded completely according to the economic and financial effects.

4.6: FURTHER READING



- Wood. F and Sangster, A. **Business accounting**. Latest edition, London;Prentice hall
- MEIGS. W.B. Johnson C.E and MEIGS- **Accounting for business decisions** latest Edition, New York, and McGraw Hill.
- Warren F. **Financial accounting**. Latest edition
- Wang'ombe D. K. – **Fundamentals of Accounting**, Focus Publishers

4.7: SELF TEST QUESTIONS



QUESTION ONE

Excellent Consulting was organised on 1st December and follows the procedure of debiting asset accounts when it records prepayments of expenses; also liability accounts are credited when unearned revenues are received. Prepare adjusting entries on 31st December for the following items;

- a) Shop supplies were purchased during December for Ksh 8,400. A December inventory showed that Ksh 5,000 of supplies were on hand
- b) The company paid insurance premiums of Ksh 6,600 during December. On 31st December an examination of the insurance policies showed that Ksh 1,100 of insurance had expired.
- c) During December, the business received Ksh 35,000 from one client for two consulting projects. As of 31st December only one project, for which the client was charged Ksh 27,000 had been completed.
- d) Late in December the business received Ksh 8,000 from a second client for consulting services to be performed in January.

QUESTION TWO

The accountant of Nakuru Services failed to adjust the Supplies account to recognise the amount consumed during the month of November. As a result of this error, will the following items be overstated, understated or unaffected?

- i. November revenues

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iii. November expenses

	Ksh	Ksh
Cash	2,100	
Accounts receivable	17,600	
Prepaid insurance	5,500	
Equipment	23,000	
Accumulated depreciation: Equipment		4,600
Accounts payable		3,700
Unearned service revenue		1,200
Loan payable		8,000
Capital		9,900
Drawings	5,000	
Service revenue		41,300
Rent expense	8,400	
Salaries expense	4,200	
Utilities expense	2,900	
	<u>68,700</u>	<u>68,700</u>

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- iv. Ending owner's equity as of 30th November
- v. Assets as of 30th November vi. Liabilities as of 30th November

QUESTION THREE

The trial balance of Kisumu Enterprises as of 31st December 2015 was as follows;

Kisumu Enterprises Trial Balance As at 31st December 2015

The following adjustment information has come to your attention;

- i. Services provided but not yet billed, Ksh 6,200 ii.
Insurance that expired during the period, Ksh 4,500 iii.
Depreciation expense on the equipment, Ksh 1,900
- iv. Unearned service revenues that have been earned during the period, Ksh 900

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- v. Accrued interest on the loan payable, Ksh 800 vi.
Salaries incurred but not yet paid, Ksh 1,400

Required

- a) Prepare the required adjusting entries in general journal form
b) Prepare an adjusted trial balance

QUESTION FOUR

Evaluate the comments that follow as being True or False;

- i. Adjusting entries are normally recorded on the last day of the accounting period
ii. The balance in an account entitled Prepaid Art Supplies would most likely be disclosed on a business's income statement
iii. The adjustment for an accrued expense involves an increase to a liability account iv. If Ksh 900 of a Ksh 3,000 insurance policy expired during the period, the prepaid insurance account should contain a Ksh 2,100 balance after adjustment
v. The Mathare club, a premier league football team records receipt of season ticket revenue in the Unearned Season Ticket Revenue account. The proper adjusting entry to reflect revenue earned during the period would involve a credit to this account.

LESSON FIVE

FINAL ACCOUNTS 5.0: INTRODUCTION



It is quite natural that a business owner is interested in knowing whether his/her business is running on Profit or Loss and its true financial. The main aim of bookkeeping is to inform the proprietor, about the business progress and the financial position at the right time and in the right way. To achieve this objective the final accounts of the business have to be prepared. Final accounts represent the accounting records compiled at the end of the financial year for a business, which include all transactions, changes, revenues, and expenses for that year. These accounts are meant to determine the profitability of the business as well as its financial position.

5.1: LEARNING OBJECTIVES



By the end of this lesson learners should be able to:

- Understand the provisions of IAS I
- Understand how to prepare the income statement/ statement of comprehensive income
- Understand how to prepare the statement of financial position

5.2: GENERAL OVERVIEW

The comprehensive final accounts of a business should be presented in accordance with the provisions of the International Accounting Standard (IAS) I: Presentation of Financial Statements. This standard sets out the overall requirements for financial statements, including how they should be structured, the minimum requirements for their content and overriding concepts such as going concern, the accrual basis of accounting and the current/non-current distinction. The standard requires a complete set of financial statements to comprise a statement of financial position, a statement of profit or loss and other comprehensive income, a statement of changes in equity and a statement of cash flows.

5.2.1: Main provisions of IAS I

The requirements of IAS I can be summarised as follows;

Fair presentation and compliance with International Financial Reporting Standards (IFRSs) IAS 1 requires that the financial statements should "present fairly" the financial position, financial performance and cash flows of an entity. Fair presentation requires the faithful representation of the effects of transactions, other events, and conditions in accordance with the definitions and recognition criteria for assets, liabilities, income and expenses set out in the conceptual framework for financial reporting. The framework for financial reporting considers perfectly faithful representation as that; that is complete, neutral and free from errors.

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Going concern

IAS 1 requires an entity to prepare financial statements on a going concern basis unless management either intends to liquidate the entity or to cease trading, or has no realistic alternative but to do so. Management of the entity takes into consideration all available information about the future of an entity which is at least the twelve months from the end of the reporting period.

Accrual basis of accounting

IAS 1 requires an entity to prepare its financial statements, except for cash flow information, using the accrual basis of accounting. The entity recognises items as assets, liabilities, equity, income and expense when they satisfy the definition and recognition criteria for those elements in the framework. The accrual basis of accounting is consistent with the underlying principles in framework for financial reporting.

Materiality and aggregation

Financial statements result from processing large numbers of transactions or others events that are aggregated into classes according to their nature and function. IAS 1 requires an entity to present separately each material class of similar items in the financial statements. An entity shall present separately items of a dissimilar nature or function unless they are immaterial.

Offsetting

IAS 1 requires an entity not to offset assets and liabilities or income and expenses unless required or permitted by an IFRS; or where offsetting reflects the substance of the transaction or other events. However the measurement of assets net of valuation allowances; or doubtful allowance on receivables or loans in not deemed to be offsetting.

Frequency of reporting

IAS 1 requires an entity to present a complete set of financial statements including comparative information at least annually (one year period). For practical reasons, an entity may wish to present a complete set of financial statements for periods other than one year. The standard does not preclude this practice. However, when the entity changes the end of its reporting period; and presents its financial statements for a period longer or shorter than one year, an entity is required to disclose; the reasons for

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using longer or shorter period; and the fact that amounts presented in the financial statements are not entirely comparable.

Comparative information

IAS 1 requires that comparative information shall be disclosed in respect of the preceding period for all amounts reported in the current period's financial statements. Entity is required to present as a minimum, two statements of financial position, two of each other statements and related notes.

Consistence of presentation

IAS 1 requires an entity to retain the presentation and classification of items in the financial statements from one period to the next unless; there is a significant change in nature of the entity's operations that another presentation would be more appropriate or; that an IFRS requires a change in the presentation.

Structure and content of financial statements

IAS 1 requires an entity to clearly identify the financial statements and notes; and distinguish them from any other information in the same published document. An entity is also required to prominently display the following information;

- The name of the reporting entity e.g. MUSA Enterprises
- Whether the financial statements are for an individual entity or for a group of entities;
- The reporting date or the period covered by the set of financial statements
- The presentation currency e.g. Ksh
- The level of rounding off used in presenting financial statements. (e.g. millions).

Statement of financial position (SOFP)

IAS 1 does not prescribe the order or format in which an entity presents the items in the SOFP. Assets can be presented current then non-current, or vice versa, and liabilities and equity can be presented current then non-current then equity, or vice versa. A net asset presentation (assets minus liabilities) is allowed. The long-term financing approach used in UK and elsewhere – fixed assets + current assets - short term payables = Long-term debt plus equity – is also acceptable.

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Statement of profit or loss and other comprehensive income

IAS 1 requires the entity to present a single statement of profit or loss and other comprehensive income with profit or loss and other comprehensive income presented in two sections or; the entity may present the profit or loss section in a separate statement of 'profit or loss' followed by another statement of other comprehensive income. In this case the separate profit or loss shall immediately precede the statement of other comprehensive income.

5.3: FINAL ACCOUNTS OF A MERCHANDISING BUSINESS

A merchandising business is a commercial enterprise dedicated to the purchase of finished goods and then resale for a profit. A merchandising business will generally buy their products from a wide range of distributors domestically and internationally and then resell them to consumers.

Examples include retail clothing, grocery stores and bookstores. These have to stock up inventories for the products that they sell hence have to determine the cost of goods sold based on the opening stock, purchases, returns outwards, carriage inwards, drawings of goods and the closing stock.

ILLUSTRATION

The following trial balance was extracted from the books of Mwenda, a sole trader as at 31st October 2015.

	Dr	Cr
	Ksh 000	Ksh 000
Capital		1,216,260
Drawings	128,880	
Sales		4,904,520
Purchases	3,726,060	
Debtors and creditors	476,160	327,720
Rent and rates	52,800	
Electricity	14,760	
Salaries and wages	496,080	
Provision for doubtful debts (1/11/2014)		19,560
Stock in trade (1/11/2014)	556,440	
Insurance	10,320	
General expenses	55,980	

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Bank balance	90,000	
Cash in hand	4,920	
Motor vehicles at cost	580,000	
Provision for depreciation on motor vehicles (1/11/2014)		216,000
Proceeds from sale of motor vehicle		115,000
Motor vehicle expenses	51,660	
Premises at cost	600,000	
Rent received		45,000
	<u>6,844,060</u>	<u>6,844,060</u>

Additional information

- i. Stock in trade as at 31/10/2015 was valued at Ksh 593,040
- ii. Rates and insurance were prepaid to the extent of Ksh 2,400 and Ksh 2,820 respectively as at 31/10/2015
- iii. Electricity due as at 31/10/2015 amounted to Ksh 6,000
- iv. The provision for doubtful debts is to be adjusted to 5% of the debtors remaining after taking into account that Ksh 20,160 of the debtors were regarded as bad
- v. Rent receivable as at 31/10/2015 was Ksh 15,000
- vi. No depreciation is to be charged on premises. Depreciation on motor vehicles is charged at 10% on cost
- vii. In November 2014 a motor vehicle which had been purchased for Ksh 160,000 on November 2011 was sold for Ksh 115,000. The only record of this disposal is the entry in the proceeds from sale of motor vehicle account.

Required

- a) Income statement for the year ending 31/10/2015
- b) Statement of Financial position as at 31/10/2015

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5.4: FINAL ACCOUNTS OF A NON MERCHANDISING BUSINESS

These are businesses that do not deal with the purchase and resale of finished products to customers.

Instead they offer services to their customers in exchange of a fee e.g. a barber shop, a shoe shiner outlet, a bank etc. These businesses do not stock up any inventories for resale and hence do not have to compute any gross profit.

ILLUSTRATION

Mr. John Kirui operates a taxi business known as Kirui Taxi Services. The trial balance prepared for the business as at 31st December 2015 is shown below;

Kirui Taxi Services Trial Balance As at 31st December 2015

	KSHS	KSHS
Office equipment	350,000	
Provision for depreciation: office equipment		50,000
Taxis	4,500,000	
Provision for depreciation: Taxis		1,500,000
Taxi fares earned		3,840,000
Creditors		475,000
Debtors	660,000	
Cash in hand	86,000	
Cash at bank	544,000	
Prepaid insurance	213,000	
Loan from Chebet		1,250,000
Capital		1,500,000
Drawings	560,000	
Manager's bonus	40,000	
Salaries	500,000	
Repairs and maintenance	300,000	

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Rent	90,000	
Fuel	652,000	
Postage and telephone	70,000	
General expenses	50,000	
	<u>8,615,000</u>	<u>8,615,000</u>

The following additional information is provided;

- i. A loan of Ksh 1.3m was taken from Chebet on 1st April 2015 and is repayable on 31st March 2016. However interest at 10% per annum on outstanding principal is payable semi-annually on 30th September and 31st March. Only Ksh 50,000 was paid as interest on 30th September 2015. This amount was recorded in the loan account by mistake ii. During the year the owner of the enterprise used of the taxis for taking his children to school and collecting them daily. This benefit to the owner valued at Ksh 800 per day, is not entered in the books. The children attended the school for 200 days during the year.
- iii. The business is managed by a manager, who is entitled to a bonus at the rate of 5% of the annual profit. The bonus is paid twice, first on 31st July as estimated based on half year results to 30th June and the balance on 31st January having determined final year results.
- iv. Depreciation is to be charged on written down value at the rates of 10% p.a. on office equipment and 15% p.a. on taxis
- v. Salaries and wages outstanding at 31st December 2015 were Ksh 70,000
- vi. Insurance paid in advance at 31st December 2015 is Ksh 35,000
- vii. A bill for Ksh 12,500 in respect of telephone services received in December 2015 has not been entered in the ledger
- viii. Rent includes Ksh 42,000 paid on 1st October 2015 for occupation of the building up to 30th April 2016 ix. It is estimated that 5% of the amount due from debtors at 31st December 2015 is doubtful necessitating a provision for doubtful debts.

Required

- a) Income Statement for the year ending 31st December 2015

b) Statement of Financial Position as at 31st December 2015

5.5: ACTIVITY



Identify the major differences between the final accounts of a merchandising business and those of a non-merchandising business.

5.6: SUMMARY



The preparation of final accounts represents the last step involved in accounting cycle. They are prepared with a view to knowing the over results of a business operation. The final accounts depict the results from operations of a business organization and also reflect the financial condition of the business organization during a certain period. They are prepared to achieve overall objectives of accounting. The operation result is shown by the statement of comprehensive income while the financial position is depicted by the statement of financial position.

5.7: FURTHER READING



- Wood. F and Sangster, A. **Business accounting**. Latest edition, London;Prentice hall
- MEIGS. W.B. Johnson C.E and MEIGS- **Accounting for business decisions** latest Edition, New York, and McGraw Hill.
- Warren F. **Financial accounting**. Latest edition
- Wang'ombe D. K. – **Fundamentals of Accounting**, Focus Publishers

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5.8: SELF TEST QUESTIONS



QUESTION ONE

The following trial balance was extracted from the books of Mueni Advocates a legal practice owned and operated by Grace Mueni for the year ended 30th November 2015.

Mueni Advocates Trial balance As at 30th November 2015

	KSHS	KSHS
Capital		400,000
Drawings	160,000	
Motor vehicles at cost	600,000	
Provision for depreciation-motor vehicle		150,000
Fixtures and fittings at cost	300,000	
Provision for depreciation- fixtures and fittings		60,000
Cash	70,000	
Owed by clients	120,000	
Owing to suppliers		33,500
Loan		100,000
Legal fees earned		960,000
Salaries and wages	445,000	
Office supplies	75,000	
Interest	15,000	
Rent	29,000	
Insurance	40,000	
Miscellaneous expenses	13,000	
Electricity and water	16,500	
Motor vehicle running expenses	60,000	
Advance legal fees		240,000
	<u>1,943,500</u>	<u>1,943,500</u>

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Additional information

- i. Advance legal fees represent an amount received on 30th June 2015 from a major client who paid for legal services to be rendered evenly in the following six months. The practice is rendering services as agreed.
- ii. A few clients have not yet been billed for services rendered during the last half of November 2015. The value of the services to the firm is estimated at Ksh 90,000 and the invoice will be raised soon.
- iii. Rent includes Ksh 18,000 paid for occupation office space up to 31st December 2015. The rent agreement revised on 30th June 2015 requires semi-annual payment of rent in advance with effect from 1st July 2015
- iv. Provision should be made for depreciation at the rate of 25%p.a. on cost of the motor vehicle and at 20% p.a. on cost of fixtures and fittings
- v. The loan was taken from Rafiki Microcredit on 1st February 2015 at annual interest of 30% payable semi-annually. The first half year interest was paid on 31st July 2015 and the last will be paid with the principal on 31st January 2016
- vi. Employees' salaries amounting to Ksh 35,000 have not yet been paid
- vii. An electricity bill at Ksh 2,000 will be paid on 31st December 2015
- viii. A physical count of office supplies on 30th November 2015 showed Ksh 25,000 on hand
- ix. A premium of Ksh 20,000 has been paid on 1st March 2015 for a one year fire insurance policy

Required

- a) Income statement for the year ending 31st December 2015
- b) Statement of Financial Position as at 31st December 2015

QUESTION TWO

Mrs Fatuma runs a wholesale business in Wajir County. Her trial balance for the year ending 31/12/2015 is as follows;

	Dr	Cr
	Ksh 000	Ksh 000
Land and buildings	8,000	
Motor vehicle at cost	6,000	
Stock (1/1/2015)	3,000	

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Sales		52,700
Purchases	28,000	
Returns inwards	2,000	
Returns outwards		1,000
Discount received		2,800
Rent	200	
Discount allowed	1,500	
Fixtures at cost	4,000	
Debtors	5,000	
Creditors		4,000
Telephone	300	
Provision for bad & doubtful debts (1/1/2015)		300
Bad debts	2,000	
Electricity	300	
Carriage inwards	200	
General expenses	3,000	
Carriage outwards	300	
Salaries and wages	4,000	
Drawings	2,000	
Capital		
	<u>69,800</u>	<u>69,800</u>

Additional information

- Closing stock amounts to Ksh 2,000,000
- Provision for bad and doubtful debts is to be increased by 5%
- Rent outstanding at the end of the year amounts to Ksh 150,000 while salaries and wages paid in advance amounts to Ksh 160,000
- Electricity and telephone bills prepaid were Ksh 50,000 and Ksh 150,000 respectively
- General expenses in arrears amount to Ksh 200,000
- Depreciation is provided on motor vehicles and fixtures at 15% on cost

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Required

- Income statement for the year ending 31/12/2015
- Statement of Financial position as at 31/12/2015

QUESTION THREE

Mr. Ancentus Okwengo is the sole proprietor of a small business. The following trial balance was extracted from his books at 31st March 2015.

	Sh. '000'	Sh. '000'
Capital		
Freehold land and buildings (at cost)	3,600	
Plant and machinery at cost	3,480	
Provision for depreciation – plant and machinery		1,680
Delivery vans	960	
Provision for depreciation – delivery vans		672
Loose tools at valuation on 1 st April 2014	288	
Stocks 1 st April 2014	2,232	
Purchases	4,440	
Loose tools	192	
Sales		15,840
Wages and Salaries	5,288	
Rates and Insurance	384	
Repairs and maintenance of buildings	240	
Sales expenses including vehicle running costs	344	
Electricity and power	1,440	
Industrial training levy	72	
Administration expenses	672	
Provision for doubtful debts		240
Debtors and Creditors	1,984	1,928
Drawings	480	
Bank		864
Cash in hand		—
	<u>24</u> 26,120	<u>26,120</u>

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Additional information

- i. The closing stock valuation on 31st March 2015 was Ksh 2,008,000. Loose tools were valued at Ksh 384,000 as the same date.
- ii. Provision is to be made for the following amount owing on 31st March 2015; Electricity and power- Ksh 192,000
- iii. Payments in advance on 31st March 2015 were as follows; Van licences- Ksh 2,520, Rates- Ksh 13,800
- iv. Depreciation on plant and machinery and delivery vans is to be provided at the rate of 20% p.a and 25% p.a respectively on cost at the end of the year
- v. Bad debts amounting to Ksh 26,000 are to be written off while the provision for doubtful debts is to maintained at 10% of the debtors

Required

- a) Income Statement for the year ending 31st March 2015
- b) Statement of Financial position as at 31st March 2015

QUESTION FOUR

Jambo Airlines is an airline providing passenger and freight service along the major domestic routes in Kenya. The accounts of the firm are adjusted and closed at the end of each month. The following is the trial balance of the firm as at 30th June 2015

	Dr	Cr
	Ksh	Ksh
Cash	23,600	
Accounts receivable	7,200	
Prepaid rent	9,600	
Unexpired insurance	21,000	
Aircraft	1,200,000	
Provision for depreciation: Aircraft		380,000
Notes payable		600,000
Unearned passenger revenue		60,000
Capital		230,850
Drawings	7,000	

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Freight revenue		130,950
Fuel expenses	53,800	
Salaries expenses	66,700	
Maintenance expense	12,900	
	<u>1,401,800</u>	<u>1,401,800</u>

Additional information

- i. The aircraft is being depreciated using the straight-line method over a period of 10 years
- ii. The amount shown as unearned passenger revenue represents tickets sold to customers in advance of flights. During the month of June, Ksh 38,650 of this amount was earned by the airline
- iii. Salaries earned by employees but not yet paid amount to Ksh 3,300 as at 30th June
- iv. Accrued interest on notes payable amounts to Ksh 5,000 as at 30th June and has not yet been recorded. Interest is paid monthly within 10 days of the end of the month. The Ksh 600,000 notes payable matures on 31st December 2017
- v. One of the firm's regular customers is Eldoret Trading Company. The airline keeps track of the weight of shipments carried for the trading company during the month and sends a bill shortly after month end. No entry has yet been made to record Ksh 4,600 earned in June carrying freight for Eldoret Trading Company
- vi. Three months' rent (Ksh 14,400) had been prepaid on 1st May 2015
- vii. On 1st April 2015, a 12 month insurance policy had been purchased for Ksh 25,200

Required

- a) Income statement for the month of June 2015
- b) Statement of Financial position as at 30th June 2015

LESSON SIX SPECIAL JOURNALS AND CONTROL ACCOUNTS

6.0: INTRODUCTION



Entering transactions in the general journal and posting them to the correct general ledger accounts is time consuming. In the general journal, a simple transaction requires three lines—two to list the accounts and one to describe the transaction. The transaction must then be posted to each general ledger account. If the transaction affects a control account, the posting must be done twice—once to the subsidiary ledger account and once to the controlling general ledger account. To speed up this process, companies use special journals to record repetitive transactions that affect the same set of accounts and have a consistent description. Such transactions can be documented on one line in a special journal. Then, instead of separately posting individual entries, each column's total is posted at the end of the accounting period. Although companies create special journals for other types of repetitive transactions, almost all merchandising companies use special journals for sales, purchases, cash receipts, and cash disbursements.

6.1: LEARNING OBJECTIVES



By the end of this lesson learners should;

- Be in a position to appreciate the purpose of special journals and control accounts
- Be in a position to appreciate the various special journals
- Be able to prepare the sales and purchases ledger control account

6.2: SPECIAL JOURNALS

Special Journals are designed to facilitate the process of journalizing and posting transactions. They are used for the most frequent transactions in a business. For example, in merchandising businesses, companies acquire merchandise from vendors, and then in turn sell the merchandise to individuals or

other businesses. Sales and purchases are the most common transactions for the merchandising businesses.

6.2.1: Sales journal

A sales journal is a specialized accounting journal used in an accounting system to keep track of the sales of items that customers have purchased on account by charging a receivable on the debit side of an accounts receivable account and crediting revenue on the credit side. It differs from the cash receipts journal in that the latter will serve to book sales when cash is received. The sales journal is used to record all of the company sales on credit. Most often these sales are made up of inventory sales or other merchandise sales. Notice that only credit sales of inventory and merchandise items are recorded in the sales journal. Cash sales of inventory are recorded in the cash receipts journal. Both cash and credit sales of non-inventory or merchandise are recorded in the general journal.

6.2.2: Purchases journal

A purchases journal is a subsidiary-level journal in which is stored information about purchasing transactions. This journal is most commonly found in a manual accounting system, where it is necessary to keep high-volume purchasing transactions from overwhelming the general ledger. Any transaction entered into the purchases journal involves a credit to the accounts payable account and a debit to the expense or asset account to which a purchase relates. The journal also includes the recordation date, the name of the supplier being paid, a source document reference, and the invoice number. Periodically, and no later than the end of each reporting period, the information in the purchases journal is summarized and posted to the general ledger. This means that the purchases stated in the general ledger are only at the most aggregated level. If a person were researching the details of a purchase, it would be necessary to go back to the purchases journal to locate a reference to the source document.

6.2.3: Sales Returns journal

Sales returns journal/book also known as returns inwards journal/book is used to record goods returned by customers for reasons such as the goods delivered to them are of the wrong colour or type, or are faulty or damaged.

The format of the returns inwards journal is almost the same as the sales day book with column headings as follow: Date, Customer, Credit Note, Sales Ledger Folio and Amount.

A credit note (C/N) is issued to every customer who returns goods. It shows the amount of the returned goods which will be credited to the customer's account to reduce the amount the customer owes.

At the end of the accounting period the total of the sales returns journal or returns inwards journal is posted to the debit of the sales returns account or returns inwards account in the general ledger, and credited to accounts receivable account in the same ledger. The amounts of the credit notes issued to the customers who have returned the goods are credited to their respective accounts in the sales ledger.

6.2.4: Purchases return journal

Goods bought on credit from suppliers may be returned to them due to some reasons such as:- The goods received may be of the wrong colour or type, or are faulty or damaged.

A debit note is sent to the supplier giving details of the goods and stating the reason for their return.

The credit note received from the supplier shows the goods returned and the amounts involved.

The purchases returns book also known as returns outwards book is used to record the debit notes.

The format of the returns outwards book is about the same as the purchases day book with column headings as follow: Date, Supplier, Debit Note, Folio (Purchases and General Ledger) and Amount.

The debit note shows the amount of the returned goods which will be debited to the supplier's account to reduce the amount owed.

Each debit note amount is posted to the debit side of the respective accounts of the suppliers in the purchases ledger.

At the end of the accounting period the total of the purchases returns book or returns outwards book is credited to the returns outwards account in the general ledger.

6.2.5: Cash payments journal 6.2.6: Cash Receipts journal

6.3: CONTROL ACCOUNTS

A control account is a summary-level account in the general ledger. This account contains aggregated totals for transactions that are individually stored in subsidiary-level ledger accounts.

Control accounts are most commonly used to summarize accounts receivable and accounts payable, since these areas contain a large volume of transactions, and so need to be separated into subsidiary ledgers, rather than cluttering up the general ledger with too much detailed information.

The balance in a control account should match the total for the related subsidiary ledger. If the balance does not match, it is possible that a journal entry was made to the control account that was not also made in the subsidiary ledger.

The typical level of activity in a control account is on a daily basis.

For example, all payables entered during one day will be aggregated from the subsidiary ledger and posted as a single summary-level number into the accounts payable control account.

Posting into all control accounts must be completed before the books can be closed at the end of a reporting period; otherwise, transactions may be stranded in a subsidiary ledger.

If anyone wants to see detailed transactional information for accounts payable, they can review the detail located in the subsidiary ledger, since it is not located in the general ledger.

Control accounts are most commonly used by large organizations, since their transaction volume is very high. A small organization can typically store all of its transactions in the general ledger, and so does not need a subsidiary ledger that is linked to a control account.

Purpose of Control Accounts

- As a summary account, enables for a glance view on the general ledger balances for the ledger to which that control account belongs whether it agrees with the total of all the individual accounts.
- To check on whether or not customers are allowed to purchase goods on credit and monitor creditworthiness or debtors
- Ensure that errors are minimised and that nothing occurs that should not such as cashier embezzling funds.
- To facilitate segregation of duties among the debtors and creditors clerks.

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6.3.1: Sales Ledger control Account

This is also known as the “Trade debtors control A/C”. It shows the total trade debtors of a company at a given time. In other words, the sales ledger control account shows the total of amount owed to a business by its customers at a particular point of time, i.e. the total of Accounts Receivables.

Format of a Sales Ledger Control

Total Debtors Control Account			
Balance b/d	xx	Balance b/d	xx
Dishonoured cheques	xx	Bad debts written off	xx
Bank charges on dishonoured cheques	xx	Discount allowed	xx
Bad debts recovered	xx	Debtors' receipts	xx
Refunds to debtors	xx	Return inwards	xx
Interest on overdue receipts	xx	Bills receivable	xx
Credit sales	xx	Contra se off (common debt)	xx
Balance c/d	xx		
(overpayment made by debtors at end of period)		Balance c/d	xx
		(actual value of now derived)	
<u>XXX</u>		<u>XXX</u>	

Therefore,

Credit sales	XX
Add: Cash Sales	<u>XX</u>
TOTAL SALES	<u>XXX</u>

Sales Ledger Control a/c	Source
1. Opening debtors balance	List of debtor's balances drawn up at the previous year end
2. Credit Sales	Sales day book totals
3. Return inwards/Sales returns	Total of the return inwards day book
4. Cheques received	Bank column of cash book on received side

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5. Cash received	Cash book cash column on received side
6. Closing debtors	List of debtors' balances drawn up at the end of the period

Basic Illustration

Sales ledger control account data for the month amounts in shs.

Debit balance on 1.01.2010	1800
Total credit sales	10000
Cheques received from customers	7000
Cash received from customers	1000
Return inwards	500
Debit balance on 31.01.2010	

Solution

Balance b/d	1800	Bank	7000
Sales	10000	Cash	1000
		Return inwards	500
		Balance c/d	<u>3300</u>
<u>11800</u>		<u>11800</u>	

Refunds to Customers

A firm can refund cash on the customer's account. This takes place when there is a credit balance on the debtor's account and the customer is not a creditor as well. In such a case:-

Dr. Debtor	xx
Cr. Cash/Bank a/c	xx

Example:

Weston (Debtor)			
	shs		shs
Sales	2,000	Cash/Bank	1,900

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Cash/Bank (refund)	200	Discount Allowed	100
		Return inwards	200
	<u>2,200</u>		<u>2,200</u>

If by the end of the financial period the firm will not have paid this amount owed to the Weston, then it's carried forward to the next period as a credit balance in the Weston's account.

Where the firm has several customers, this information will be shown in the control accounts as total balance carried forward (debit side).

Contra entry /Set Off

Some debtors to a firm could also be creditors in the same firm. So, this entry is made where there is an amount of common debt between two traders who engage in business so that they have a debtorcreditor relationship. It reduces both debtors and creditors control account.

Debtor J				Creditor J			
Sales	4,000	Contra-purchases	2,000	Contra – Debtor	<u>2,000</u>	Purchases	<u>2,000</u>
		Bal c/d	2,000				
	4,000		4,000				

ILLUSTRATION

Prepare a sales ledger control account from the following:

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2010		shs
May 1 st	Debit balances	3700
	Totals for May:	
	Sales journal	20500
	Cheques received from debtors	14500
	Cash received from customers	2000
	Discounts allowed	300
	Debit balances in the sales ledger set off against credit balances in the purchases ledger	1400
May 31 st	Debit balances	?
	Credit balances	1000

Solution

Sales Ledger Control A/C

	Shs.	Shs.
Balance b/d	3700	Cheques from debtors 14500
Sales	20500	Cash from customers 2000
Balance c/d	1000	Discount allowed 3000
		Contra set off 1400
		Balance c/d 4300
<u>25200</u>		<u>25200</u>

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6.3.2: Purchases Ledger control Account

This is also known as the “Trade creditors control A/C”. It shows the total trade creditors of a company at a given time. In other words, it shows how much in total a business owes to its suppliers at a particular point of time, i.e. the total of Accounts Payable.

Format of a Purchases Ledger Control Account

Total Creditors Control Account			
Balance b/d	xx	Balance b/d	xx
Discount received	xx	Credit purchases	xx
Return outwards xx		Suppliers dishonoured cheques	xx
Bad debts recovered	xx	Interest on overdue accounts	xx
Payments to creditors xx		Bank charges on dishonoured cheques	xx
Contra se off (common debt)	xx		
Balance c/d	xx	Balance c/d	xx
(actual creditors value derived)		(overpayment made to creditors)	
<u>XXX</u>		<u>XXX</u>	

Therefore,

Credit purchases	XX
Add: Cash purchases	<u>XX</u>
TOTAL PURCHASES	<u>XXX</u>

Purchases Ledger Control a/c	Source
1. Opening creditors balance	List of creditors' balances drawn up at the previous year end
2. Credit Purchases	Purchases day book totals
3. Return outwards/Purchases returns	Total of the return outwards day book

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4. Cheques paid	Bank column of cash book on payments side
5. Cash paid	Cash book cash column on payments side
6. Closing creditors	List of creditors' balances drawn up at the end of the period

Basic Illustration

Purchases ledger control account data for the month amounts in shs.

Credit balance on 1.01.2010	3900
Cheques paid to suppliers	3600
Return outwards	100
Bought from suppliers	4900
Credit balance on 31.01.2010	5100

Solution

Purchases Ledger Control a/c

Bank	3600	Balance b/d	3900
Return outwards	100	Purchases	4900
Balance c/d	<u>5100</u>		
<u>8800</u>		<u>8800</u>	

ILLUSTRATION

You are required to prepare a purchases ledger control account from the following for the month of June. The balance of the account is to be taken as the amount of creditors as on 30 June.

2009		shs
December 1	Purchases ledger balances	30000
	Totals for December:	
	Purchases journal	15500

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	Returns outwards journal	9000
	Cheques paid to suppliers	18800
	Discounts received from suppliers	3500
December 31	Purchases ledger balances	?

Solution

Purchases Ledger Control A/C

Shs.			Shs.
Discount received	3500	Balances b/d	30000
Return outwards	9000	Purchases	15500
Cheques paid to suppliers	18800		
Balance c/d	13700		
<u>45000</u>		<u>45000</u>	

NOTE



In preparing the control accounts the following should be put into consideration;

- Cash received from CASH SALES should NOT be included in sales ledger control a/c.
- Only cash discounts (allowable & receivables) should be included.
- Provision for doubtful debts is NOT included in the sales ledger control account
- Cash purchases are NOT posted to the Purchases Ledger Control Account. However in some cases it can be included especially where there are incomplete records
- Interest due that is charged on overdue customers' account may also be shown on the debit side of the sales ledger control.

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ILLUSTRATION

The balances and transactions affecting the control accounts of Blackman Ltd. for the month of April 2011 are listed below:-

Shs. '000'

Balances on 1st April 2011

Sales ledger	917,000 (debit)
	256,000 (credit)
Purchases ledger	55,590 (credit)
	8,000 (debit)

Transactions during April 2011:

Credit purchases	9,900
Allowances from suppliers	55,000
Cheques received from customers	27,000
Credit sales	48,000
Discount received	111,000
Payments to creditors by cheques	99,800
Contra settlements	3,400
Bills of exchange receivable	6,700
Allowances to customers	56,700
Customers cheques dishonoured	777,000
Cash received from credit customers	846,000
Refunds to customers for overpayments	60,000
Discounts allowed	357,000

Balances on 31st April 2011

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Sales ledger 538,000 (credit)

Purchases ledger 134,000 (debit)

Required:

The sales ledger and purchases ledger control accounts for the month of April 2011 and show the respective debit and credit closing balances on 30th April 2011.

Blackman Ltd Sales Ledger Control A/C

2011		Ksh	2011		Ksh
1/04	Bal b/d	917 ,000	1/04	Bal b/d	256,000
	Sales	48 ,000		Bank	27 ,000
	Dishonoured cheques	777,000		Contra	3 ,400
	Refunds to customers	60,000		Bills of exchange receivable	6 7000
				Allowances	56,700
				Cash	846,000
				Discounts allowed	357,000

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30/04 Bal	<u>538,000</u>	c/d 30/04 Bal c/d	<u>787,200</u>
	<u>2,340,000</u>		<u>2,340,000</u>

Blackman Ltd

Purchases Ledger Control A/C

2011		Ksh	2011		Ksh
1/04	Bal b/d	8,000	1/04	Bal b/d	55,590
	Allowances from suppliers	55,000		Purchases	9,900
	Discounts received	11,000			
	Bank	99,800			
	Contra settlement	3,400			
30/04	Bal c/d	<u>22,290</u>	30/04	Bal c/d	<u>134,000</u>
		<u>199,490</u>			<u>,99,490</u>

6.4: ACTIVITY



6.5: SUMMARY



Most businesses will maintain a general journal. All transactions can be recorded in the general journal.

However, a business may sometimes find it beneficial to employ optional "special journals" which are deployed for highly redundant transactions such as cash receipts, cash payment, credit sales as well as credit purchases.

The special journals do not replace the general journal, they just strip out recurring type transactions and place them in their own separate journal.

Without special journals, a general journal can become quite voluminous. The information from the special journals is normally posted to the respective accounts in the corresponding ledgers. These individual accounts in the corresponding ledgers such as the customers' or suppliers accounts are then aggregated together in the control accounts that are found in the general ledger.

6.6: FURTHER READING



- Wood. F and Sangster, A. **Business accounting**. Latest edition, London;Prentice hall
- MEIGS. W.B. Johnson C.E and MEIGS- **Accounting for business decisions** latest Edition, New York, and McGraw Hill.
- Warren F. **Financial accounting**. Latest edition
- Wang'ombe D. K. – **Fundamentals of Accounting**, Focus Publishers

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6.7: SELF TEST QUESTIONS



QUESTION ONE

Ramsden Limited maintains sales and purchases control accounts in the General Ledger. The transactions for the month ended 30th June 2008 were as follows:

		Ksh
Credit balances on 1 st June 2008	-Sales ledger	308,000
	-Purchases ledger	280,000
Debit balances on 1 st June 2008	-Sales ledger	400,000
	-Purchases ledger	350,000
Credit balances on 30 th June 2008	-Sales ledger	390,000
Debit balances on 30 th June 2008	Purchases ledger	480,000
Credit purchases		1,550,000
Credit sales		6,200,000
Cheques from debtors		3,460,000
Cash received from debtors		7,980,000
Cheque payments to creditors		1,100,000
Cash payments to creditors		710,000
Bad debts written off		49,000

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Discounts received		290,000
Discounts allowed		530,000
Contra entry to sales ledger from purchases ledger		720,000
Refunds to customers		89,000
Returns outwards		280,000
Returns inwards		460,000

Required:

Sales ledger and purchases ledger control accounts for the month ended 30th June 2008.

QUESTION TWO

The following information has been extracted from the books of Shandley Traders for the month ending August 2012;

	Ksh 000
Sales ledger balances at 1/1/2012	
Dr	15,000
Cr	98
Purchases ledger balances at 1/1/2012	
Dr	340
Cr	7,600
Sales for August;	
Cash	2,400
Credit	21,790

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Purchases for August;	
Cash	1,020
Credit	14,500
Goods returned by credit customers	1,760
Goods returned to suppliers (bought on credit)	440
Cash received from debtors	20,450
Cash paid to creditors	11,120
Discount allowed	580
Discount received	276
Bad debts written off	424
Cash received in respect of bad debts previously written off	70
Debtor's cheques returned by bank unpaid	826
Interest debited to accounts	36
Balances in sales ledger offset against balances in purchases ledger	1,200
Balances on provision for doubtful debts at 1/1/2016	150
Sales ledger credit balances at 31/1/2016	200
Purchases ledger debit balances at 31/1/2016	80

The owner of the business has decided that the provision for doubtful accounts should be adjusted to 5% of debtors at 31/1/2016.

Required

Prepare sales ledger and purchases ledger control accounts for the month of August 2012

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QUESTION THREE

Heshima Enterprises is in wholesale business selling roofing iron sheets on credit terms. The following balances were extracted from its ledgers at 31st January 2016;

	Ksh
Sales	7,438,560
Purchases	3,263,430
Cash and cheques received from debtors	7,092,650
Cash paid to creditors	3,018,420
Creditors balance; 1/2/2015	497,730
Debtors balance; 1/2/2015	842,200
Discount allowed	83,160
Discount received	70,780
Returns inwards	370,360
Carriage outwards	54,640
Selling and distribution expenses	124,600
Provision for doubtful debts; 1/9/2012	49,480

Further checks revealed that;

- i. Bad debts amounting to Ksh 72,540 are to be written off and the provision for doubtful debts is to be raised to 10% of the debtor balances at 31st January 2016
- ii. A cheque for Ksh 14,260 from one of the customers has been returned by the bank marked “refer to the drawer”
- iii. Included in cash and cheques received from debtors is a cheque for Ksh 7,500 from the liquidator of Yote Limited. This customer had owed Heshima Enterprises Ksh

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75,000 when it ceased to operate in March 2009 and the debt had been written off as a bad debt in the year ending 31/1/2010.

Required

- a) Debtors ledger control account
- b) Bad and doubtful debts account

REVIEW QUESTIONS

TOPIC 1

1. Define the term 'Accounting' and explain its purpose.
2. Briefly identify the users and uses of accounting information.
3. Is there any relationship between accounting and recordkeeping? If any, describe.
4. State what shows the financial condition of a firm giving its basic elements?
5. Define the accounting equation
6. Determine the missing amount in each of the following accounting equations:-

Assets	=	Equity	+	Liabilities
14000	=	-	+	4000
15000	=	8000	+	-
40000	=	-	+	10000
9000	=	3000	+	-

7. Determine the effect on owner's equity after the following transactions: -
 - a. Purchase of plant on account.
 - b. Amount received for services rendered.
 - c. Bought products on cash basis.
 - d. Money withdrawn for no business use
8. Define an accounting system and explain its main functions.

TOPIC 2

1. Briefly explain the following terms:-
 - a. Accounting Policies
 - b. Accounting Concepts
 - c. Accounting Principles
 - d. Accounting Standards
 - e. Accounting Bases
 - f. Accounting Basis
2. Define the term 'Ethics' and why they are crucial to accounting?
3. What is Social Responsibility and how is it related to ethics?
4. State and briefly explain the fundamental accounting concepts.
5. What is meant by Money Measurement Concept?
6. On June 30, 2014 Axe signed a sh.300000 contract to provide cleaning services to one of its clients in 2015. Axe has a June 30th year end. Which accounting principle requires Axe to record the cleaning services revenue from their client in 2015 and not in 2014?
 - a. Business entity principle
 - b. Going concern concept
 - c. Revenue recognition principle
 - d. Objectivity principle
7. Accounting uses the term 'Materiality'. What does it mean?

TOPIC 3

1. With the help of a diagram, describe the basic accounting cycle.
2. Which of the following transaction entry s correct?

- | Account Debited | Account Credited |
|--|------------------|
| i. Bought machinery for cash Machinery | Cash |
| ii. Cheque payment from debtor Bank | Debtor |
| iii. Cash payment to a creditor | Cash |
| iv. Capital introduced by cheque | Capital |
| Bank | |
- a. i, ii and iv only
 - c. i, ii and iii only

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- b. ii, iv and iii only d. i and iii only
3. From the following explained transactions, which one is correct?
- | Account | Record | Entry |
|----------------|-------------|--------|
| Asset | An increase | Debit |
| | A decrease | Credit |
| A decrease | Credit | An |
| increase | Debit | |
| iii. Liability | An increase | Credit |
| | A decrease | Debit |
- a. i and ii c. i, iii and iii
- b. ii and iii d. i and iii
4. What is meant by the Books of Original Entry and how many types are they?
5. What is a ledger account and name the various types of ledgers in accounting
6. A journal is...
- a. Used when other journals have been mislaid
 - b. A supplement to the cash book
 - c. Part of the double entry system
 - d. Not part of the double entry system
7. Show the necessary journal entries to record the following transactions for the month of August 2014.
- 01. Bought motor vehicle on credit for sh.12000 from Grage.
 - 05. Wrote off a debt of sh. 60 owing from S.Kili as a bad debt.
 - 10. Furniture bought for sh.800 was returned to the supplier Nice Offices as it was faulty.
 - 15. Took sh. 90 out of the business goods without paying for them.
 - 20. Paid an insurance bill in respect of the business and now discovered that of sh.100 was for the private house.

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30. Bought plant at sh.1800 on credit from Yamaha.
31. F.Rotich owed sh.300 is declared bankrupt and we received sh.60 in full settlement of the debt.
8. State the Double Entry rule.
9. In December 2015, the following transactions took place. Prepare the double entry in the books.
01. Began the business with sh.10000 in the bank.
02. Bought goods worth sh.200 from Telco on credit.
03. Purchase furniture by paying a cheque of sh.300.
05. Sold goods worth sh.450 for cash.
07. Bought goods on credit sh.200 from Cherop.
11. Paid rent sh.50 by cash.
14. Paid in cash for sh.100 stationery. 20.
- Returned goods to Telco of sh.50.
22. Received rent from part of the premises by cheque of sh.20.
24. Sold goods on credit to Kirui for sh.140.
26. Bought a motor vehicle by cheque of sh.600.
30. Month's wages amounted to sh.250.
31. Proprietor took cash of sh.100 for personal use.
10. From the following details, enter up the sales day book, post the items to the relevant accounts in the sales ledger for the month of April 2013 credit sales to:-
- | | |
|--------|----------|
| Daley | sh. 1000 |
| Desai | sh.1800 |
| Kemboi | sh.200 |
| Daley | sh.500 |
| Xavier | sh.2000 |
| Desai | sh.3500 |
| Thuo | sh.800 |
| Njoka | sh.700 |
11. A sole trader specialising in clothing made the following purchases and sales in July 2012
01. Bought from Jose Shops silk sh.100, cotton sh.200 less 25% trade discounts.

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08. Sold to Gupta linen sh.50, woollen sh.80 with no trade discount.
10. Sold to Ali silk sh.60, linen sh. 200, cotton sh.150 less 20% trade discount.
20. Purchase from Shah cotton sh.100, linen sh.100 less 25% trade discount.
24. Sold to Rashid linen sh.80, cotton sh.90 less 10% trade discount.
31. Bought from Musa linen sh.450 less $33\frac{1}{3}\%$ trade discount.
- Required:-a. The purchases day book and sales day book.
- b. The personal accounts and totals of the sales and purchases accounts

12. Which of the following describes a trial balance?

- a. A list of balances on the books
- b. A special account
- c. Shows all the entries in the books
- d. Shows the financial position of a business

13. Extract a trial balance from the following transactions for the month of January 2014.

01. Business began with sh.600 in the bank.
02. Purchased goods on credit from Henry sh.152, Hillary sh.54, Harison sh.112
05. Made cash sales of sh.174
06. Paid wages of sh.56 in cash
07. Sold goods on credit to Eliot sh.70, Elias sh.84, Emily sh.144
09. Bought goods for cash sh.92
10. From Hillary sh.114 and Harison sh.196 bought goods on credit

14. Sold goods on credit to Elias sh.64, Emily sh.46

17. Paid Hillary by cheque of sh.168
20. Returned goods to Harison for sh.40
21. Emily paid us by cheque of sh.190
25. Kaunda lent us sh.120 cash
30. Bought motor vehicle by cheque sh.800

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14. Why is the journal used to correct accounting errors?
- It is much easier
 - It saves the bookkeeper's time
 - It provides a good record explaining double entry
 - It saves entering them in the ledger
15. For a trial balance that does not agree, where must the difference be entered?
- The Capital account
 - A Suspense account
 - The Profit and Loss account
 - A Nominal account
16. Among the following errors, which one would be disclosed in the trial balance?
- Credit sales of sh.600 entered in both accounts as sh.60
 - Purchases of sh.100 omitted entirely from the books
 - sh.300 cheque from Albert entered in Albert's account as sh.500
 - Selling expenses debited to the sales account
17. A bookkeeper extracted a trial balance on 31.08.2011 which did not agree by sh.1060 a shortage on the credit side. In September, the following errors were established:-
- Sales day book under cast by sh.600
 - Under cast of the rent account by sh.540
 - Sh.1120 for a motor vehicle sale at book value was credited in error of the sales account
 - Sales of sh.900 to Kirui were debited to Kili's account in error
 - The discount received account had been under cast by sh.1000

Required: - a. The necessary journal entries to correct the errors

b. A suspense account

c. The corrected net profit if it had previously been calculated at sh.16200 for the year ended 31.08.2011.

18. The following is a trial balance of McDan after a year of trading. Draw up a trading profit and loss account and a balance sheet for the year ended 31.12.2011.

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Trial Balance as at 31.12.2011		
Sales		56500
Purchases	46800	
Rent	2000	
Lighting and heating expenses	1000	
Salaries and wages	6200	
Insurance	200	
Buildings	100000	
Fixtures	2000	
Debtors	6200	
Sundry expenses	1000	
Creditors		2400
Cash at bank	7600	
Drawings	4800	
Motor vehicles	11000	
Motor running expenses	2200	
Capital		<u>132100</u>
	<u>191000</u>	<u>191000</u>

The stock value as at 31.12.2011 was sh.8200.

TOPIC 4

1. ABC Ltd financial year ended on 31 May 2012. For the items below provide the ledger accounts, the balance transferred to the necessary part of the financial statements and the balances carried down to 2013
 - Motor vehicle expenses paid in 2011 sh.1500 owing at 31.05.2011 sh.1040
 - Insurance paid in 2011 sh.1800 and prepaid as at 31.05.2012 was sh.1070
 - Stationery paid during the year sh.3000 and owing as at 31.05.2011 was sh.1500 and as at 31.05.2012 was sh.1800
 - Rent paid during the year sh.2800 while amount prepaid as at 31.05.2011 and

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31.05.2012 was sh.1440 and sh.1480 respectively

- Rent received from tenant during the year amounted to sh.2100 and as at 31.05.2011 and 31.05.2012 the tenant owed sh.1360 and sh.1420 respectively
2. Define the term 'Depreciation' and differentiate the main methods of depreciation.
 3. A plant costing sh.37500 will be kept for 4 years in a business and later sold at an estimated value of sh.15360.

Required are the figures for depreciation using the straight line method and the reducing balance method using 20% depreciation rate.

4. Delta's financial period ends on March 31st and provides depreciation on plant and machinery at the rate of 10% per annum diminishing balance. On 31.03.2012, the plant and machinery has purchased the following: -

April 2010 Plant X at sh.9000

July 2011 Plant Y at sh.6000

September 2012 Plant Z at sh.3000

Determine the provision for depreciation for the year 2012.

5. Write down the double entries in the provision for doubtful debts: -
 - i. Increase
 - ii. Decrease
6. A provision for doubtful debts is made at Winscon Ltd at the rate of 20% of debtors. On 01.12.2011 the provision from the previous year was sh.1300, bad debts written off during the year totalled to sh. 1580 to 30.11.2011. The remaining debtors were sh.7240 on 30.11.2011

Required:- i. The bad debts account for the year

ii. The provision for doubtful debts account for the year

iii. Relevant extracts as at 30.11.2011

TOPIC 5

1. Among the following items which one is charged to the profit and loss account?
 - a. Office rent
 - b. Carriage inwards

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c. Work in progress

d. Direct materials

2. On 01.07.2012 Beauty Aging Club had the following assets:-

Cash at bank	sh.20000
Bar snack stocks	sh.80000
Club house buildings	sh.1200000

During the year ending 30.06.2012 the club engaged in the following:-

Receipts	sh.	Payments	
Subscriptions 2012	350000	Rent and rates	150000
Subscriptions 2013	38000	Club house extension	800000
Snack bar income	60000	Bar purchases	375000
Visitor's fees	65000	Secretarial expenses	24000
Bank loan	550000	Loan interest	26000
Competition fees	82000	Snack bar expenses	60000
		Game equipment	200000

- Snack bar stock on 30.06.2012 was sh.90000
- Game equipment should be depreciated by 20%

Required: - i. An income and expenditure account for the year ended 30.06.2012

ii. A balance sheet as at 30.06.2012

3. Which is the most appropriate meaning of Working Capital?

- Total of fixed assets less current assets
- Capital less drawings
- Excess of current assets over current liabilities
- Capital invested by owners of a firm

4. The receipts and payments of Garden Rotary Club for the year ended 30.06.2012 are as follows:-

Garden Rotary Club

Receipts and Payments for the year ended 30.06.2012

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Receipts		Payments	
Cash and bank b/d	10500	Secretarial expenses	8150
Sale of competition tickets	21850	Rent	70100
Member's subscriptions	99350	Speaker's expenses	63750
Donations	8850	Charity donations	1750
Refund of rent	25000	Competition prizes	13500
Balance c/d	<u>650</u>	Printing and stationery	<u>8950</u>
	<u>166200</u>		<u>166200</u>
Valuations as at 30.06	2011	2012	
Equipment cost sh.71000	48750	39000	
Subscriptions-Arrears	3250	4250	
-Advance	500	1850	
Suppliers of competition prizes	2900	3400	
Competition prizes stock	1900	2300	

- i. Determine the accumulated fund value for the club as at 01.07.2011
 - ii. Prepare account for the year ended 30.06.2012 for: -
 - a. Subscriptions
 - b. Competition prizes
 - iii. Present an income and expenditure account for Gardens Rotary Club for the year ended 30.06.2012 and as at the same date balance sheet
5. Omondi is planning to buy an existing business and is required to pay sh.250000 explain what this means when the assets are valued at: - Land and buildings sh.100000, Fittings and furniture sh.10000, Inventory sh.80000 and Motor vehicles sh.30000.
- a. An amount of sh.40000 is payment for goodwill
 - b. Land and buildings cost sh.30000 more than their value
 - c. sh.30000 is payment for goodwill
 - d. There is a calculation mistake in the purchase consideration
6. If the goods cost price is sh.90 and the selling price is sh.120 then

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i. Mark-up is $33 \frac{1}{3}\%$ iii. Margin is $33 \frac{1}{3}\%$

ii. Mark-up is 25% iv. Margin is 25%

a. ii and iii b. ii and iv c. iv and i d. iii and i

7. Draw up a trading profit and loss account and statement of financial position as at 30.06.2012 for Superior Lines Ltd whose trial balance is as follows:-

	DR	CR
	SH.	SH.
Bank	201960	
Trade receivables	567300	
Trade payables		369120
Inventory 30.06.2011	1210800	
Building (cost)	3000000	
Equipment (cost)	1350000	
Profit and loss 30.06.2011		458580
General reserves		240000
Foreign exchange reserves		126000
Share capital		3000000
Purchases	2170800	
Sales		4064580
Carriage inwards	47100	
Carriage outwards	41700	
Salaries and wages	549300	
Rent and rates	127050	
Office expenses	90660	
Sundry expenses	56880	
Depreciation-Building		960000
-Equipment		480000
Director's remuneration	<u>285000</u>	<u> </u>

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9698280

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As at 30.06.2012 – Stock was sh.1570800

- Rate amounted to sh.8400 and office expenses were sh.5700
- 10% dividend was proposed
- Transfers were made to general and foreign exchange reserves of sh.30000 and sh.24000 respectively
- Buildings depreciation on cost was 5% and equipment was 20%

8. What does the accounting term 'Debentures' mean.

TOPIC 6

1. Prepare a 3-column cashbook for Cenga Wines showing the relevant discount accounts in the general ledger.

2013 August 01 Cash balance of sh.900 and bank balance of sh.8500

02 After deducting 10% cash discount amount by cheque were received from

Rotich sh.700, Ruto sh.900 and Rop sh.1100 (as pre discount)

03 Cenga paid rent by cheque of sh.700

04 Ole lent the business a cheque of sh.2500

06 The following accounts were paid by cheque deducting 5% cash discount for Rosa sh.900, Madu sh.1300 and Merr sh. 2100 (pre discount amount)

08 Motor expenses paid were sh.580 in cash

10 Patel paid his account of sh.650 by sh.620 n cheque less sh.30 cash discount

12 Month wages were sh.700

14 sh.1100 withdrawn from the bank for business

16 sh.700 were drawings

20 Purchased fittings of sh.1700 paid by cheque

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30 A commission of sh.660 was received in form of a cheque

2. Which is the correct descending order that current assets should appear in a balance sheet?
 - a. Stock, Debtors, Bank, Cash
 - b. Cash, Bank, Debtors, Stock
 - c. Debtors, Stock, Bank, Cash
 - d. Stock, Debtors, Cash, Bank
3. Why is carriage inwards charged to the trading account?
 - a. Carriage outwards goes into the profit and loss account
 - b. It is an expense connected with buying goods
 - c. It should not go in the balance sheet
 - d. It is not part of motor expenses
4. On 31.03.2013 the financial year of Ali Motors ended and required to prepare a total debtors and creditors accounts to give the figure for debtors and creditors for final accounts from the following information:-

Sales Cash	680000
Credit	520000
Purchases Cash	28800
Credit	980000
Receipts from customers	1200000
Payments to suppliers	1000000
Discounts Allowed	10400
Received	6200
Refunds to cash customers	10600
Set off balance	200
Bad debts written off	1400
Provision for bad debts increase	100
Credit Notes To credit customers	8200
From credit suppliers	2800

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The previous year's financial statements as at 01.04.2012 debtors were sh.52000 and creditors were sh.86000.

5. State the numerical effect on the purchase ledger control account for the following discovered errors.
 - a. A credit not for sh.1000 entered as an invoice
 - b. Purchases of sh.1500 entered on the wrong side of creditor's account
 - c. A sh.3000 invoice entered in the purchases day book as sh.8000
 - d. Discount payment of sh.4000 from a creditor was completely omitted
6. How are errors not detected by a trial balance found?